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SCAP-17-0000816

IN THE SUPREME COURT OF THE STATE OF HAWAII

In the Matter of the Appeal of

KAHEAWA WIND POWER, LLC,

Taxpayer-Appellant.

CIVIL NO. 16-1-0229

Case Nos. TX 14-1-0266 and consolidated case TX 16-1-0272, TX 14-1-0267 and consolidated case TX 16-1-0273, and 1 X 16-1-0275, 1 TX 15-1-0238, 1 TX 16-1-0328 (Other Civil Action)

Consolidated Case Nos. CAAP-17-0000816, CAAP-17-0000817, CAAP-17-0000818, CAAP-170000819, CAAP-17-0000820

CAAP-17-0000816 - APPEAL FROM 1) ORDER GRANTING TAXPAYER-APPELLANT KAHEAWA WIND POWER LLC'S MOTION FOR PARTIAL SUMMARY JUDGMENT FILED SEPTEMBER 1, 2016, FILED APRIL 25, 2017, 2) ORDER DENYING APPELLEE COUNTY OF MAUI'S MOTION FOR SUMMARY JUDGMENT AND FOR DISMISSAL OF TAXPAYER-APPELLANT KAHEAWA WIND POWER LLC'S TAX APPEALS FILED NOVEMBER 12, 2014 AND FEBRUARY 3, 2014, FILED FEBRUARY 3, 2017, FILED MAY 15, 2017, AND 3) STIPULATION FOR ENTRY OF JUDGMENT; FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000817 -APPEAL FROM CAAP-17-0000817 - APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000818 - APPEAL FROM 1) ORDER GRANTING TAXPAYER-APPELLANT AUWAHI WIND ENERGY LLC'S AUGUST 31, 2016 MOTION FOR SUMMARY JUDGMENT FILED APRIL 26, 2017, 2) ORDER DENYING APPELLEE COUNTY OF MAUI'S FEBRUARY 3, 2017 MOTION FOR SUMMARY JUDGMENT ET SEQ., FILED MAY 14, 2017; AND STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000819-APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000820 - APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

Tax Appeal Court, State of Hawai‘i
Judge: Honorable Gary W.B. Chang

APPELLEE/TAXPAYER-APPELLANT AUWAHI WIND ENERGY LLC'S ANSWERING BRIEF

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I. INTRODUCTION

This consolidated appeal arises from the County of Maui's ("**County**") repeated attempts to tax as real property removable wind towers and turbines (together, "**Turbines**") located on two wind farms, one operated by Auwahi Wind Energy LLC ("**Auwahi**") and the other operated by Kaheawa Wind Power, LLC, and Kaheawa Wind Power II, LLC (together, "**Kaheawa**") (together with Auwahi, "**Appellees**"). The County previously classified the Kaheawa's Turbines as real property for tax years 2007-2013 and Auwahi's Turbines as real property for tax year 2013.

The Intermediate Court of Appeals of Hawai'i (the "**ICA**") agreed with the Tax Appeal Court of the State of Hawai'i (the "**Tax Appeal Court**") that Kaheawa's Turbines are not "real property" under the Maui County Code ("**MCC**") for the purposes of the real property tax. *Kaheawa Wind Power, LLC v. County of Maui*, 135 Hawai'i 202, 211, 347 P.3d 632, 641 (Ct. App. 2014).[1] The definition of "real property" under the Maui County Code at the time followed the common law understanding of the term, specifically land, improvements, and even machinery if it qualifies as a "fixture," which is a type of improvement. *Id.* at 205-07, 347 P.3d at 635-37. The ICA concluded that the Turbines were not necessary to the utility of the land and thus not "fixtures" or "real property." *Id.* at 211, 347 P.3d at 641. This Court thereafter rejected the County's application for a writ of certiorari. *Kaheawa*, 2015 WL 745424 (2015). Pursuant to the *Kaheawa* decision, the County and Auwahi entered into a stipulated final judgment that Auwahi's Turbines were not "real property" under the MCC for the 2013 tax year.

In an attempt to circumvent the decision in *Kaheawa*, the County amended the definition of "real property" in the MCC to not only include the common law definition as before, but specifically add wind towers and turbines. MCC § 3.48.005 (2013). Based on that amendment, from tax year 2014 forward, the County again classified Appellees' Turbines as "real property." *See* Record on Appeal, SCOT-17-0000818, Dkt. 29 at p. 18; SCOT-17-0000819, Dkt. 13 at p. 26-27; SCOT-17-0000820, Dkt. 15 at p. 27-28.[2]

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[1] This decision specifically concerned Kaheawa's appeals for the 2007-2011 tax years.

[2] Citation to the appellate record is to the Judiciary's Electronic Filing System Docket Number (Dkt.) and the PDF page number. Dockets 29, 31, 33, 35, and 37 in SCOT-17-0000818 comprise the five-part Record on Appeal, and are referred to as "**818 ROA Vol. I**", "**818 ROA Vol. II**," "**818 ROA Vol. III**," "**818 ROA Vol. IV**," and "**818 ROA Vol. V**," respectively. Docket 13 in

In so doing, the County exceeded its authority to tax. Article VIII, section 3 of the Hawai‘i Constitution limits the County's taxing authority to "real property" as it was understood when section 3 was adopted in 1978. Prior to the adoption of section 3, the State taxed real property and defined "real property" by statute, specifically HRS § 246-1. This definition followed the common law. When section 3 was adopted, the counties followed by ordinance the State's statutory definition. *See* Hawai‘i County Code § 19-2 (1981); Revised Ordinances of Honolulu § 8-1.2 (1983); Kauai County Code § 5A-1.1; MCC § 3.48.005 (1980). The County of Maui used this definition for over 30 years. *See* MCC § 3.48.005 (1980). It is undisputed by the County in its Opening Brief that the meaning of "real property" in section 3, at the time section 3 was adopted, was the definition set forth in HRS § 246-1 and MCC § 3.48.005 (before it was amended in 2013). This is the same definition interpreted in *Kaheawa* under which the ICA held that Turbines do not qualify as real property.

The County tries to achieve a different result here by asserting that it has the authority to broaden the definition of "real property" under section 3. However, as a creation of the State, the County may "exercise only those powers which have been delegated to [it] by the State legislature." *State v. Medeiros*, 89 Hawai‘i 361, 365, 973 P.2d 736, 740 (1999) (quotation marks, citation, and brackets omitted). Article VIII, section 3 of the Hawai‘i Constitution conferred upon the counties the power to tax only "real property." Importantly, section 3 did not confer on the County any authority to tax "personal property," a term used elsewhere in the Hawai‘i Constitution but found nowhere in section 3. Thus, the County lacks the authority to broaden the definition of "real property" to include personal property such as Auwahi's Turbines.

The County also takes this opportunity to challenge the ICA's decision in *Kaheawa* since this Court rejected the County's application for a writ of certiorari to review of the *Kaheawa* decision. Specifically, the County argues that the ICA's adoption of the fixture test set forth in *Zangerle v. Republic Steel Corp.*, 60 N.E.2d 170 (Ohio 1945), was misplaced, and the County offers a number of alternative theories under which Auwahi's towers and turbines would be considered "real property." The cases cited by the County, however, are either based on statutes

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SCOT-17-0000819 is the Record on Appeal and is referred to as "**819 ROA**." Docket 15 in SCOT-17-0000820 is the Record on Appeal and is referred to as "**820 ROA**."

unique to that state or are contrary to existing Hawai‘i case law. Thus, there is no basis to deviate from the ICA's analysis in concluding that the Turbines are not "real property."

II. COUNTERSTATEMENT OF THE CASE

A. Auwahi's Contribution to Renewable Energy.

Auwahi operates a wind farm on land it leases located at 20100 Pi‘ilani Highway, Hana, Hawai‘i and identified by Tax Map Key No. (1) 1-9-001-006 (the "**Property**"). 818 ROA Vol. I at 73, 141-214, 215-18. The wind farm's eight wind turbines generate enough electricity to power approximately 10,000 typical Maui homes and help the State of Hawai‘i to reach its goal of securing 40% of its electricity from renewable sources by 2030. *Id.* at 73; Haw. Rev. Stat. ("**HRS**") § 269-92(a)(4). In discussing its broader objective of securing 70% of its energy from clean energy sources by 2030, the Hawai‘i Legislature stated that "[t]his type of clean energy transformation will help stabilize and strengthen Hawaii's economy by reducing its dependency on imported fossil fuels and protect its environment by sharply reducing greenhouse gas emissions." 2009 Haw. Sess. L. Act 155, § 10.

B. Appellees Appeal the County's Taxation of Their Respective Turbines as "Real Property" Under the Prior Version of the MCC.

1. The ICA affirms the Tax Appeal Court's decision that Turbines are not "real property."

In 2010, the County began taxing the Turbines as "real property." The County issued to Kaheawa an Amended Notice of Property Assessment for each of the 2007, 2008 and 2009 tax years, seeking to retroactively tax Turbines as "real property." *See Kaheawa*, 135 Hawai‘i at 204, 347 P.3d at 634. The County also taxed Turbines as "real property" in tax years 2010 and 2011. *See id.* Kaheawa appealed the tax assessments to the Tax Appeal Court. *Id.* at 205, 347 P.3d at 635. On cross motions for summary judgment, the Tax Appeal Court ruled in favor of Kaheawa, holding that the Turbines did not constitute real property for real property tax assessment purposes. *Id.*

On appeal, the ICA agreed with the Tax Appeal Court that the Turbines were not "real property" under the MCC. *Id.* at 211, 347 P.3d at 641. In analyzing the issue, the ICA considered whether the Turbines were "improvements" or "fixtures" within the definition of "real property" under MCC § 3.48.005. *Id.* at 207, 347 P.3d at 637. The ICA determined that the Turbines were not "improvements" under either the language of the MCC or common law. *Id.* at 208-09,

347 P.3d at 638-39. The ICA also concluded that the Turbines were not "fixtures" under the MCC. *Id.* at 210-11, 347 P.3d at 640-41. In reaching this conclusion, the ICA "look[ed] to traditional common law 'fixture' analysis for guidance." *Id.* at 210, 347 P.3d at 640 ("[T]he interpretation of well-defined words and phrases in the common law carries over to statutes dealing with the same or similar subject matter." (brackets in original) (quotation marks and citation omitted)). Relying on *Zangerle v. Republic Steel Corp.*, 60 N.E.2d 170 (Ohio 1945), the ICA determined that

> [i]n this case, the wind turbines are only necessary to the utility of the land or realty given the particular business that Kaheawa is currently operating. The wind turbines are not accessory or useful to the land "whatever business may be carried on upon it[.]" . . . Thus, the wind turbines are not "fixtures" and are not "real property."

Kaheawa, 135 Hawai'i at 211, 347 P.3d at 641 (brackets in original) (citation omitted).

The County's application for a writ of certiorari to this Court was denied. *Kaheawa*, 2015 WL 745424 (2015).

2. Auwahi appeals the County's similar treatment of Auwahi's Turbines for tax year 2013.

For tax year 2013, the County also classified Auwahi's Turbines as "real property." By this point, the Tax Appeal Court had already decided in *Kaheawa* that wind turbines and towers were not "real property." In light of *Kaheawa*, Auwahi and the County entered into a stipulated final judgment under which the parties stipulated and the Court ordered that "the wind towers and turbines . . . located on the [Property] are not 'real property' under the version of the Maui County Code applicable to the 2013 tax year." 818 ROA Vol. I at 77. That version of the MCC defined "real property" as including "improvements," "fixture[s]," and "machinery . . . whose use thereof is necessary to the utility of [the] land." MCC § 3.48.005(B) (1980). Thus, under the stipulated judgment for the 2013 tax year, the County agreed and the Court ordered that the Turbines were not "improvements," "fixture[s]," and "machinery . . . whose use thereof is necessary to the utility of [the] land." *See id.*; 818 ROA Vol. I at 77. Since the 2013 tax year, there have been no changes to Auwahi's Turbines. 818 ROA Vol. I at 75.[3]

[3] This statement was accurate at the time Auwahi filed its motion for summary judgment. Thereafter, one of Auwahi's Turbines was damaged and the tower and turbine were removed and replaced.

C. To circumvent the *Kaheawa* decision, the County Amends the MCC to Include Turbines in the Definition of "Real Property."

In response to the Tax Appeal Court's ruling in *Kaheawa*, in 2013 the County amended its definition of "real property" in the MCC to include towers and turbines, as follows:

> . . . all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same; and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof:
>
> 1. Whose use thereof increases the value to, or is necessary to the utility of such land, buildings, structures, fences, and improvements; or
>
> 2. Whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops; or
>
> 3. **Any and all wind energy conversion property that is used to convert wind energy to a form of usable energy, including, but not limited to, a wind charger, windmill, wind turbine, tower, and electrical equipment, pad mount transformers, power lines, and substation, and other such components.**

MCC § 3.48.005 (2013) (emphasis added). Based on this amendment, the County classified Auwahi's Turbines as "real property" for tax years 2014, 2015 and 2016. 819 ROA at 26; 818 ROA Vol. I at 19; 820 ROA at 27.

D. Auwahi Challenges the Tax Assessments for Tax Years 2014, 2015 and 2016 as Unconstitutional.

Auwahi appealed the tax assessments for tax years 2014, 2015 and 2016 (the "**Tax Assessments**") to the Board of Review for the County of Maui (the "**Board**"). After the Board upheld the Tax Assessments for those three years, Auwahi appealed the assessments to the Tax Appeal Court. *See* 819 ROA at 6-172; 818 ROA Vol. I at 6-23; 820 ROA at 6-30.

On August 31, 2016, Auwahi moved for summary judgment in its appeal of the tax assessments for tax year 2015. 818 ROA Vol. I at 49-230. Auwahi argued that the County exceeded its taxing authority by classifying and taxing the Turbines as "real property," thus the Tax Assessments were invalid *Id.* at 71-72. Specifically, Auwahi explained that article VIII, section 3 of the Hawai'i Constitution granted the counties only the authority to tax "real property," not personal property. *Id.* at 61-62. Thus, the scope of the authority granted to the counties was limited to "real property" as it was defined at the time section 3 was promulgated.

Id. at 60-63. At the time, "real property" was defined as it was at common law. *Id.* at 62. Accordingly, section 3 granted the counties the authority to tax only that which fell into the common law definition of "real property." *Id.* at 62-63.

Auwahi argued that the Turbines did not fall into this definition because the Turbines were neither necessary to the utility of the land nor intended to be permanent. *Id.* at 65-69. To support this assertion, Auwahi submitted the declaration of James R. Asay, Director - Corporate Tax of Sempra Energy, a parent company of Auwahi. Mr. Asay declared:

- Auwahi's Turbines are machinery and equipment. *Id.* at 74. The turbines are mounted on towers, which are bolted onto poured concrete foundation slabs. *Id.* at 74, 227. The Turbines can be unbolted and removed without any harm to either the equipment or the land. *Id.* at 74.

- The Turbines are not necessary to the utility of the land. *Id.* The Turbines could only be used for the particular business of a wind farm and are devoted entirely to the business conducted on the Property. *Id.* The Turbines are not integrated with and of permanent utility to the land regardless of future use. *Id.* The Turbines would have no significant value to someone other than another wind farmer, and if the land were devoted to any other use than the electricity-generation business, the Turbines would simply get in the way. *Id.* at 74-75. The cost to operate and maintain the Turbines would be much too high to make economic sense for some other business to use. *Id.* at 75. Moreover, the Turbines cannot guaranty a steady flow of electrical power due to the unpredictability of the wind conditions. *Id.* At times, due to either lack of wind or wind in excess of the Turbines' maximum capacity, the Turbines have to be shut down. *Id.*

- The Turbines were not intended to be permanent additions to the land. *Id.* Auwahi expects to repair, modify, or possibly upgrade the Turbines for its business. *Id.* The Turbines are bolted to the concrete foundation to stabilize the Turbines for use in the wind-farm business. *Id.* The Turbines were not built on-site from construction blueprints, but rather were purchased as commercially available hardware with some assembly required. *Id.* The turbines came with an instruction booklet. *Id.* Auwahi did not have to obtain a building permit, or submit plans and drawings, for the Turbines. *Id.* Under Auwahi's lease for the Property, Auwahi may remove the Turbines at any time and upon termination of the lease, Auwahi must remove the Turbines from the premises. *Id.* at 75.

Auwahi argued that because the Turbines did not fall into the common law definition of "real property," the County lacked the authority to tax the Turbines as "real property" and the Tax Assessments were invalid. *Id.* at 71-72.

The County opposed Auwahi's motion for summary judgment, arguing that section 3 conferred on the counties not only the power to tax "real property" but also the power to define "real property." 818 ROA Vol. II at 18-20. Therefore, the County acted within its authority when it defined "real property" to explicitly include the Turbines and taxed the Turbines on that basis. *Id.* at 19-20. The County offered no evidence or argument disputing the removability of the Turbines. *See generally id.* at 6-372.

The parties subsequently agreed to continue the hearing on Auwahi's motion for summary judgment to permit additional discovery and to allow the motion to be heard at the same time as Kaheawa's motion for summary judgment in its pending appeals. *See* 818 ROA Vol. III at 8-9, 13-14.

On February 3, 2017 the County filed a motion for summary judgment asserting the same dispositive issues as raised in Auwahi's motion for summary judgment. *See* 818 ROA Vol. IV at 5-590. The County argued that MCC § 3.48.005 as amended was valid because article VIII, section 3 of the Hawai'i Constitution contained no limit on the definition of "real property." *Id.* at 19-21. The County also argued that Turbines added value to the Property and were indisputably used to convert wind energy. *Id.* at 21-22. The County offered no evidence or argument disputing the removability of the Turbines. *See generally id.* at 5-590.

On February 13, 2017, the Tax Appeal Court held a joint hearing on Kaheawa's and Auwahi's motions for summary judgment. SCOT-0000816, Dkt. 13 (transcript of 2/13/17 hearing) ("**Tr.**"). At the hearing, the Tax Appeal Court posed the question whether the 1978 Constitutional Conventioneers intended to transfer to the counties the power to redefine "real property" to include items of personal property for taxation purposes. Tr. at 3:19-23. Appellees argued that the language of section 3 was itself limiting in that it restricted the counties' taxing authority to the "taxation of real property." *Id.* 4:13-8:19. As defined at the time, by both statute and common law, "real property" did not include machinery and equipment that is only useful in the context of a specific business and not generally necessary for the use of the property. *Id.* The County argued that "[w]hat was granted to the counties was complete authority over what to define and codify what becomes assessable and taxable real estate." *Id.* at 9:22-10:25. Relying on the minutes from the 1978 Constitutional Convention, the County asserted that because there was no explicit exclusion of policy making from the authority granted to the counties, policy making

power must have been granted to the counties. *Id.* at 15:24-16:3. Kaheawa noted that in those same minutes, the 1978 Constitutional Conventioneers expressed concerns that the counties' taxing authority needed to be limited. *Id.* at 29:25-30:19 (quoting comments from Delegate Souki stating, "I want to alert the delegates here that the intent of this section, providing for the exclusive power of real property taxation, is not so that the counties can increase their revenue or increase their taxing powers, it is to provide for better management of the taxing power" and summarizing comments from Delegate Crozier that he was "okay with the counties getting control over real property tax, but I'm a little concerned that they could go too far").

Considering the authority the counties had asked for, the Constitutional Conventioneers concerns relating to the "potency of policy making power," and the reasons why the Conventioneers wanted to transfer taxing authority to the counties, the Tax Appeal Court was "unable to conclude that the Constitutional Convention in 1978 intended to transfer to the counties policy making powers." *Id.* at 38:24-39:7. The Tax Appeal Court further reasoned that "if the counties have the power to redefine real property so broadly as to include chattel, then there may be no end to what the counties will ultimately do with respect to taxing chattel that are located upon real property." *Id.* at 40:6-10. Accordingly, the Court granted summary judgment in favor of Appellees. *Id.* at 41:24-42:15.

On April 26, 2017, the Tax Appeal Court entered its Order Granting Taxpayer-Appellant Auwahi Wind Energy LLC's August 31, 2016 Motion for Summary Judgment, 818 ROA Vol. V at 77-78, and on May 15, 2017, it entered its Order Denying Appellee County of Maui's February 3, 2017 Motion for Summary Judgment and for Dismissal of Taxpayer-Appellant Auwahi Wind Energy LLC's Tax Appeal.[4] *Id.* at 107-08. Based on these two orders, Auwahi and the County stipulated to a final judgment for the appeal of tax years 2015, *id.* at 109-10, 2014, 819 ROA at 246, and 2016, 820 ROA at 169-70.

The County subsequently appealed the stipulated final judgments for tax years 2014, 2015, and 2016.

[4] The County's motion for summary judgment was denied without hearing or further briefing as the County conceded that its motion raised the same dispositive issue as Kaheawa's and Auwahi's motions for summary judgment. *See* Tr. 43:20-24.

III. POINTS OF ERROR

The County fails to comply with Rule 28(b)(4) of the Hawai‘i Rules of Appellate Procedure, which requires:

> (4) A concise statement of the points of error set forth in separately numbered paragraphs. Each point shall state: (i) the alleged error committed by the court or agency; **(ii) where in the record the alleged error occurred; and (iii) where in the record the alleged error was objected to or the manner in which the alleged error was brought to the attention of the court or agency**.

Haw. R. App. P. 28(b)(4) (emphasis added). In its Opening Brief, the County identifies four alleged points of error but does not identify "where in the record the alleged error occurred," or "where in the record the alleged error was objected to." *See* Opening Brief at 18-19. Thus, in accordance with Rule 28(b)(4), the County's points of error should be disregarded. *See* Haw. R. App. P. 28(b)(4) ("Points not presented in accordance with this section will be disregarded[.]").

IV. STANDARD OF REVIEW

A. Summary Judgment Standard.

The appellate court reviews "a circuit court's grant or denial of summary judgment *de novo* under the same standard applied by the circuit court." *Haw. Cnty. Fed. Credit Union v. Keka*, 94 Hawai‘i 213, 221, 11 P.3d 1, 9 (2000) (quotation marks and brackets omitted).

A grant of summary judgment is appropriate "where there is no genuine issue as to any material fact and the moving party is entitled to judgment as a matter of law." *Balthazar v. Verizon Haw., Inc.*, 109 Hawai‘i 69, 72, 123 P.3d 194, 197 (2005) (quotation marks omitted).

"[O]nce the movant satisfies the initial burden of showing the absence of a genuine issue of material fact, the burden shifts to the opponent to present specific facts showing that there remains a genuine issue for trial." *Arimizu v. Fin. Sec. Ins. Co.*, 5 Haw. App. 106, 106, 679 P.2d 627, 629 (1984). The nonmoving party "must be able to point to some facts which refute the proof of the movant in some material portion . . . [and] must come forward with some evidentiary matters to support [their] position." *Costa v. Able Distribs.*, 3 Haw. App. 486, 489, 653 P.2d 101, 104 (1982). The nonmoving party must present "specific evidence of discrepancies or contradiction." *Id.* at 489, 653 P.2d at 104. The nonmoving party cannot discharge its burden by "alleging conclusions, 'nor [is it] entitled to a trial on the basis of the hope that [it] can produce some evidence at that time." *Henderson v. Prof'l Coatings Corp.*,

72 Haw. 387, 401, 819 P.2d 84, 92 (1991) ("Bare allegations or factually unsupported conclusions are insufficient to raise a genuine issue of material fact[.]").

"[W]here the decision below is correct it must be affirmed by the appellate court though the lower tribunal gave a wrong reason for its actions." *Agsalud v. Lee*, 66 Haw. 425, 430, 664 P.2d 734, 738 (1983) (quotation marks and citation omitted).

B. Standard for Interpretation of Constitutional Provisions.

In answering questions of constitutional law, the Court "exercis[es] [its] own independent constitutional judgment based on the facts of the case." *State v. Arceo*, 84 Hawai'i 1, 11, 928 P.2d 843, 853 (1996) (quotation marks and citation omitted). Thus, questions of constitutional law are reviewed under the right/wrong standard. *Id.*

"[T]he Hawai'i Constitution must be construed with due regard to the intent of the framers and the people adopting it, and the fundamental principle in interpreting a constitutional provision is to give effect to that intent." *Hawaii State AFL-CIO v. Yoshina*, 84 Hawai'i 374, 376, 935 P.2d 89, 91 (1997).

In construing a constitutional provision, we consider the words "found in the instrument itself." *Id.* "[T]he general rule is that, if the words used in a constitutional provision . . . are clear and unambiguous, they are to be construed as they are written." *Id.* "In this regard, the settled rule is that in the construction of a constitutional provision the words are presumed to be used in their natural sense unless the context furnishes some ground to control, qualify, or enlarge them." *Id.*

We also consider context. "'[A] constitutional provision must be construed in connection with other provisions of the instrument, and also in the light of the circumstances under which it was adopted and the history which preceded it.'" *Cnty. of Kaua'i ex rel. Nakazawa v. Baptiste*, 115 Hawai'i 15, 43, 165 P.3d 916, 944 (2007) (quoting *Blair v. Harris*, 98 Hawai'i 176, 179, 45 P.3d 798, 801 (2002)). "[T]he framers of [a constitutional provision] are deemed to have been aware of the statutory scheme in effect at the time that [the provision] was promulgated." *Blair*, 98 Hawai'i at 180, 45 P.3d at 802. They are deemed to have been equally aware of common law principles. *See Yoshina*, 84 Hawai'i at 377, 935 P.2d at 92 ("The fact that the framers of our constitution and those who voted to adopt it were aware of the meanings of 'ballots' and 'cast' is apparent from contemporaneous election statutes and judicial decisions."). "It is . . . a very

reasonable rule that a State constitution shall be understood and construed in the light and by the assistance of the common law, and with the fact in view that its rules are still left in force." *Territory v. Scully*, 22 Haw. 618, 630 (Terr. 1915) (interpreting statute in light of common law). "[The constitution's] definitions we are to draw from that great [common law] fountain." *Id.* "[I]n judging what [the constitution] means, we are to keep in mind that it is not the beginning of law for the State, but that it assumes the existence and a well understood system which is still to remain in force and be administered, but under such limitations and restrictions as that instrument imposes." *Id.*

The Hawai'i Supreme Court is the "final arbiter of the meaning of the provisions of the Hawai'i Constitution." *State v. Santiago*, 53 Haw. 254, 266, 492 P.2d 657, 664 (1971).

C. Standard for Interpretation of Tax Laws.

"Tax laws should be strictly construed and any doubt resolved in favor of the public. *In re Assessment of Taxes, Commercial Pac. Cable Co.*, 16 Haw. 396, 400 (1905) (citing *Cooley on Taxation*). As Cooley explains, "[c]onstitutional provisions, or statute, claimed to delegate the power to tax will be strictly construed in favor of the taxpayer, in determining whether any power to tax has been delegated and also, where it is conceded that some power to tax has been delegated, in determining the scope of the delegated power." 1 Cooley, *Taxation* § 83 (4th ed.). "As the power to tax is the power to destroy, the power delegated by the Constitution should be strictly construed, and cannot be extended by mere inference and implication." *Daigle v. Opelousas, G. & N.E. Ry. Co.*, 50 So. 846, 848 (La. 1909).

V. ARGUMENT

A. Article VIII, Section 3 of the Hawai'i Constitution Limits the Counties' Taxing Authority to "Real Property" as Defined in 1978.

"Municipal corporations are solely the creation of the State." *State v. Medeiros*, 89 Hawai'i 361, 365, 973 P.2d 736, 740 (1999) (quotation marks and citation omitted). "As such, they may exercise only those powers which have been delegated to them by the State legislature." *Id.* (quotation marks, citation, and brackets omitted). "Accordingly, if no provision of the Hawai'i Constitution or the HRS empowers the [County] to enact and enforce the [provision], the [provision] is invalid." *Id.* As demonstrated below, the County was only granted

the authority to tax "real property," not personal property. Accordingly, MCC § 3.48.005 as amended that purports to tax personal property as "real property" is invalid. *Id.*

1. Only the authority to tax "real property" was transferred to the counties.

The counties' taxing authority is granted by article VIII, section 3 of the Hawai'i Constitution, which provides in relevant part as follows:

> The taxing power shall be reserved to the State, except so much thereof as may be delegated by the legislature to the political subdivisions, and except that all functions, powers and duties relating to the taxation of **real property** shall be exercised exclusively by the counties, with the exception of Kalawao.

Haw. Const. art. VIII, § 3 (emphasis added). By its plain language, section 3 conferred upon the counties only "functions, powers and duties relating to the taxation of **real property**."[5] *Id.* (emphasis added); *see also Anzai*, 99 Hawai'i at 510, 57 P.3d at 435 ("[F]ollowing the 1978 State Constitutional Convention, article VII, section 3 of the Hawai'i Constitution was renumbered and amended to include a provision vesting exclusive taxation authority over real property in the counties."); Haw. Const. art. 18, § 6 (stating "effective date and application of real property tax transfer" under section 3); HRS § 246A-1 (providing procedures for "the orderly transfer of . . . functions" "relating to the taxation of real property heretofore reserved to the State"); *Anzai*, 99 Hawai'i at 511, 57 P.3d at 436 (noting "transfer of real property taxation powers to the counties" and the "transfer of the taxing authority"); *id.* at 519, 57 P.3d at 444 ("1978 constitutional amendments . . . transferred 'all functions, powers and duties relating to taxation of real property'").

Although not defined in section 3, "real property" had a well understood meaning leading up to and following the enactment of the provision. Prior to the promulgation of section 3, "all taxation authority was vested in the State" pursuant to Hawai'i Constitution article VII, section 3. *Anzai*, 99 Hawai'i at 510, 57 P.3d at 435. The State thus had the authority to tax both personal property and real property. *See id.* In exercising this authority, the State defined "real property" in HRS chapter 246 as follows:

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[5] "Real property" as used in the Hawai'i Constitution is not synonymous with all "property" as other sections of the Hawai'i Constitution refer to both real and personal property. *See, e.g.*, Haw. Const. art. X, section 5 ("It shall have title to all the real and personal property now or hereafter set aside or conveyed to it . . . ."); *id.*, art. XII, section 5 ("The Office of Hawaiian Affairs shall hold title to all the real and personal property now or hereafter set aside or conveyed to it . . . ."); *id.* section 6 (". . . and to exercise control over real and personal property . . . .").

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.

HRS § 246-1 (1967).

This statutory definition accorded the dictionary definition as well as the common law understanding of "real property," with the exception of the exclusion of growing crops. For example, *Black's Law Dictionary* 1383 (4th ed. 1968) defines "real property" as "[l]and, and generally whatever is erected or growing upon or affixed to the land." Likewise, *Webster's Third New International Dictionary* 1818, 1890 (1981) defines "property" as including "real estate," which means "land and its permanently affixed buildings or other structures together with its improvements and its natural assets (as minerals, crops, waters) and with the inclusion of corporeal rights or incorporeal rights that follow ownership of the land and with the interests in such rights." *See Voellmy v. Broderick*, 91 Hawai'i 125, 129, 980 P.2d 999, 1003 (Ct. App. 1999) ("Where a term is not defined by statute, this court may rely on extrinsic aids, such as dictionaries, in discerning the ordinary meaning of statutory terms."); *State v. Guyton*, 135 Hawai'i 372, 378-79, 351 P.3d 1138, 1144-45 (2015) (relying on dictionary definition of "residence" and "yard" to interpret statute); *Ross v. Stouffer Hotel Co. (Hawai'i) Ltd.*, 76 Hawai'i 454, 461, 8789 P.2d 1037, 1044 (1994) (using dictionary definition of "discharge" to determine meaning of statute).

Similarly, at common law, "real property" is understood to "consist[] of such things as are permanent, fixed, and immovable, including lands, tenements, and hereditaments of all kinds, which are not annexed to the person or cannot be moved from the place in which they exist." 63C Am. Jur. *Property* § 11 (updated May 2016). It "includes not only the land itself, but also all buildings, fixtures, and improvements, and the rights and privileges appurtenant thereto." *Id.* *See also Peters v. Weatherwax*, 69 Haw. 21, 26-27, 731 P.2d 157, 161 (1987) ("[T]he interpretation of well-defined words and phrases in the common law carries over to statutes dealing with the same or similar subject matter.").

Against this statutory and common law background, section 3 was promulgated. Thus, "real property" as it appears in section 3 must mean:

> all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements.

See Yoshina, 84 Hawai‘i at 376, 935 P.2d at 91 ("[T]he general rule is that, if the words used in a constitutional provision . . . are clear and unambiguous, they are to be construed as they are written."); *see also Blair*, 98 Hawai‘i at 180, 45 P.3d at 802 (stating that "framers . . . are deemed to have been aware of the statutory scheme in effect at the time that [the provision] was promulgated); *Yoshina*, 84 Hawai‘i at 377, 935 P.2d at 92 (demonstrating that framers are deemed to be equally aware of common law principles).

Consistent with the concept that section 3 incorporated the common law and statutory definitions of "real property," the counties of Hawai‘i passed ordinances defining "real property" in the same way as HRS § 246-1 (1967):

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, building, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, of whose removal cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.

Hawai‘i County Code § 19-2 (1981).

> "Property" and "real property" shall mean and include all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, building structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, of whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.

Revised Ordinances of Honolulu § 8-1.2 (1983).

> "Property" or "real property" shall mean and include all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops. The temporal division of any interest in real property shall not, in and of itself, affect its status as real property.

Kauai County Code § 5A-1.1.

In 1980 the County also passed an ordinance (MCC § 3.48.005) defining "real property" in the same way as HRS § 246-1 (1967):

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, building structures, fences and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.

This definition would remain unchanged for over three decades. To the extent that property falls outside of this well-established definition, the counties necessarily lack the authority to tax such property.

2. Section 3 does not confer upon the counties a general taxing power (beyond real property) or the unrestricted authority to define "real property."

The County argues that section 3 conferred upon the counties a "general grant of authority" that permits the counties unlimited authority to "define real property." *See* Opening Brief at 20-21. Contrary to the County's argument, section 3 undoubtedly conferred upon the counties a **limited** taxing authority confined to the subset of property defined as "real property." *See Yoshina*, 84 Hawai'i at 376, 935 P.2d at 91 ("[T]he general rule is that, if the words used in a constitutional provision . . . are clear and unambiguous, they are to be construed as they are written."). There is nothing in the language of section 3 granting the counties either a general taxing authority or the authority to tax personal property.

The County selectively relies upon the minutes from the 1978 Constitutional Convention to support its claim of unrestrained taxing authority. The minutes as a whole demonstrate that there was no intention to grant the counties unfettered taxing power. For example, the County myopically relies on the following statement from the Standing Committee Report to support its assertion of a general taxing authority: "A general grant of taxing powers to the counties would include . . . e) formulation of basic policies." *See* Opening Brief at 20; 818 ROA Vol. II at 49. However, the two preceding sentences restrict the "general grant of taxing powers" to the taxation of "real property." *See* 818 ROA Vol. II at 49 ("In recent years, county officials have advocated the transfer of **real property** functions from the State to the counties. Such a move, it is felt, would permit counties to use the power to tax **real property** in a more effective manner." (emphases added)). This limitation is confirmed later in the minutes where it states: "Your Committee concludes that the power to levy a tax on **real property** should be granted to the counties," *id.*, and manifested in the language of section 3 itself: ". . . all functions, powers and duties relating to the taxation of **real property** shall be exercised exclusively by the counties . . . ." Haw. Const., art. VIII, § 3 (emphasis added). The County cannot simply disregard the qualifying words "real property." *See Potter v. Haw. Newspaper Agency*, 89 Hawai'i 411, 422, 974 P.2d 51, 62-63 (1999) ("Our rules of statutory construction requires us to reject an interpretation of [a] statute that renders any part of the statutory language a nullity."). Thus, while the County may have "all taxing powers relating to real property," *see* 818 ROA Vol. II at 55, this power is confined to the taxation of "real property" and does not extend to the taxation of personal property.

The limitation of the counties' taxing authority is further confirmed by the Committee's decision to deny the counties "the power to levy a general excise tax." 818 ROA Vol. II at 49. In reaching this conclusion, the Committee agreed that "[t]he counties, should they desire additional revenues, have the power to raise the added revenue through the real property tax **by increasing the rates**." *Id.* (emphasis added). Importantly, the Committee contemplated that the counties could increase revenue by increasing the tax rate, not by expanding the scope of taxable property.

Despite this, the County argues that, because the counties were granted the ability to formulate "basic policies," the counties must have been given the discretion to formulate said

policies without limitation. The County's argument is illogical. The County can exercise policy making authority without exceeding the power granted to it by section 3. *Gardens at West Maui Vacation Club v. County of Maui*, 90 Hawai'i 334, 978 P.2d 772 (1999), relied upon by the County, is a perfect example. In *Gardens*, the issue was whether the County had the authority to enact differential tax rates. 90 Hawai'i at 341, 978 P.2d at 779. The court determined that HRS § 248-2 which required the State to maintain a single rate of tax was repealed by implication by the subsequent enactment of article VIII, section 3 of the Hawai'i Constitution. *Id.* Looking at the Committee of the Whole Report No. 7 from the 1978 Constitutional Convention, the court determined that "[t]here are no provisions limiting or restricting the tax rate structure determined by the counties." *Id.* Thus, the counties could implement differential tax rates for policy reasons. *Id.* at 343, 978 P.2d at 781 (noting that the County's reclassification of timeshares from "apartment" to "hotel resort" served the policy of eliminating disparate tax treatment). Simply because the counties can implement policies within the authority granted to them by section 3 does not mean that the court has sanctioned unrestrained policy making, as the County suggests. *See* Opening Brief at 21 ("If there were any lingering doubts as to the counties' function, power, and duty to make policy as part of its real property tax program and pursuant to its real property tax authority, the Supreme Court of Hawai'i has dispelled it."). The County is still limited to policy making through the taxation of **real property**, not personal property.

Along the same lines, the County can define "real property" in a manner that is not ultra vires. For example, the County could exclude a class of property from the definition of "real property" that is otherwise taxable. This is consistent with the reason the Constitutional Conventioneers included the phrase "all functions, powers and duties relating to the taxation of real property" in section 3, which was to clarify that the counties would have the power to set exemptions. *See* 818 ROA Vol. II at 55 (stating that the phrase was added "in order to clarify the standing committee's intent to grant all taxing powers relating to real property to the counties, except Kalawao [as] [t]here was some question under the earlier language as to whether or not the counties would have the power to set exemptions"). That the County may redefine "real property" in a limiting fashion does not concomitantly give it the power to expand the definition of "real property" to include personal property. The County is still confined to the authority granted to it by section 3 which limits the County's authority to the taxation of "real property."

See Medeiros, 89 Hawai‘i at 365, 973 P.2d at 740 (stating that counties "may exercise only those powers which have been delegated to them by the State legislature").

The County also incorrectly implies that the description of the State's taxing authority prior to the promulgation of section 3 necessarily describes the counties' taxing authority post promulgation. Prior to the promulgation of section 3, "**all** taxation authority was vested in the State" pursuant to Hawai‘i Constitution article VII, section 3. *Anzai*, 99 Hawai‘i at 510, 57 P.3d at 435 (emphasis added). Thus, at the time, if the State wanted to tax personal property as "real property," it could do so because the State had the power to tax both real property and personal property. By contrast, the County could not tax personal property simply by classifying it as "real property" because, unlike the State, the County was not granted taxing authority over personal property. *See* Haw. Const., art. VIII, § 3. Therefore, the fact that Standing Committee Report No. 42 identified "[b]asic policies defining real property [as] . . . the responsibility of **state lawmakers**," *see* 818 ROA Vol. II at 48 (emphasis added), and that "the State may now utilize the real property tax as an instrument of land use and economic policy,"[6] *id.* at 49, does not elucidate the authority granted to the counties.

For this same reason, the New Hampshire cases cited by the County in support of its assertion that the County has the unrestricted power to redefine "real property" are inapposite. *See* Opening Brief at 22-23. Those New Hampshire cases address the **legislature's** (*i.e.*, the State's) authority to define realty in such a way that it includes personal property. *See Opinion of the Justices*, 697 A.2d 125, 128 (N.H. 1997) ("The **legislature** has the power to make any kind of property realty for purposes of taxation." (emphasis added)); *King Ridge, Inc. v. Town of Sutton*, 340 A.2d 106, 109-110 (N.H. 1975) (describing the "undoubted power of the **legislature in this State** to make any type of property realty for purposes of taxation even though it is personalty at common law" (emphasis added)). Like the State of Hawai‘i prior to the promulgation of section 3, the State of New Hampshire holds **all** taxing authority. *See King Ridge, Inc.*, 340 A.2d at 108 ("As a general rule taxes cannot be assessed and collected in this State except by authority of the legislature."). Thus, the State of New Hampshire may "make any

[6] "[T]hat the State may now utilize the real property tax as an instrument of land use and economic policy," as quoted by the County, *see* Opening Brief at 20, is actually one of "two major considerations **against** transferring real property functions." *See* 818 ROA Vol. II at 49.

kind of property realty for purposes of taxation," *id.* at 109-110, because it has the power to tax both real property and personal property. *Id.* at 108. That is not the case here for the County.

To the extent that the County argues that the lack of an explicit statement prohibiting the counties from taxing personal property or reserving the taxation of personal property to the State demonstrates that the counties do have the authority to tax personal property, that argument has no legal support. "Municipal corporations and local governmental subdivisions of the state have no inherent power to levy taxes." *People ex rel. Gish v. Lake Erie & W.R. Co.*, 93 N.E. 288, 288 (Ill. 1910). "[I]f any grant of power to tax is made by the Legislature to municipal corporations or local authorities, they must be able to show their warrant for the exercise of the power in the words of the grant, which are to be strictly construed." *Id.* "The reasonable presumption is that the state has granted, in clear and unmistakable terms, all it has intended to grant at all." *Id.* (citing Cooley on Taxation, 209); *see also Dental Serv. of Mass., Inc. v. Commn'r of Rev.*, 94 N.E.3d 802, 805 (Mass. 2018) ("[W]e adhere to the familiar principle that tax statutes are to be strictly construed; we will not read into a statute an authority to tax that it does not plainly confer."); *Stam v. State*, 275 S.E.2d 439, 441 (N.C. 1981) ("It is likewise an established rule that the authority of municipalities to levy a tax must be made to clearly appear, and that doubts, if any, as to the power sought to be exercised, must be resolved against the municipality."). Thus, the County's reliance on the lack of authority **prohibiting** the counties from taxing personal property does not show a clear grant of such an authority. *See Dental Serv. of Mass., Inc.*, 94 N.E.3d at 805. To the extent that there is any doubt, this must be resolved against the County. *See Stam*, 275 S.E.2d at 441.

B. Informed by the Statutory and Common Law Definitions and the Analysis in *Kaheawa*, the Turbines Are Not "Fixtures" and Thus Not "Real Property."

Because the County lacks the authority to tax personal property, it follows that the County lacks the authority to define "real property" in a way that includes personal property for taxation purposes. The County argues that even if its authority is so limited, "MCC § 3.48.005 as amended does not redefine 'personalty' as 'realty.'" Opening Brief at 23. To support this untenable position, the County attacks the ICA's reliance on *Zangerle v. Republic Steel Corp.*, 60 N.E.2d 170 (Ohio 1945), and asserts that when realty becomes a "fixture" should be determined "with appraisal concepts of use, utility, and value to land." *Id.* There is no legal support for the County's position.

1. The County is attempting to tax personal property as "real property" by improperly expanding the definition of a "fixture."

The County cannot credibly argue that it is not attempting to tax personal property by redefining it as "real property." MCC § 3.48.005 as amended broadens the common law criteria for determining whether personal property constitutes a "fixture" and thus expands the scope of "real property." The prior version of section 3.48.005 read as follows:

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same and any fixture which is erected on or affixed to such land, building structures, fences and improvements, including all machinery and other mechanical equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.

MCC § 3.48.005 (2012). Thus, under the prior version of section 3.48.005, machinery and mechanical equipment were considered fixtures if (1) their use was necessary to the utility of the land, or (2) could not be removed without causing substantial damage to the land, buildings, structures, fences, or improvements. Accordingly, machinery and mechanical equipment not considered fixtures were not "real property." *See Kaheawa*, 135 Hawai'i at 211, 347 P.3d at 641. As discussed *supra*, this is identical to the statutory definition of "real property" in effect immediately prior to the promulgation of article VIII, section 3 of the Hawai'i Constitution and consistent with the common law definition of "real property" in 1978. *See supra* Section IV.A.1.

The amended version of MCC § 3.48.005 defines "real property" in a markedly different fashion:

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same; and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof:
>
> 1. Whose use thereof increases the value to, or is necessary to the utility of such land, buildings, structures, fences, and improvements; or
>
> 2. Whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops; or

> 3. Any and all wind energy conversion property that is used to convert wind energy to a form of usable energy, including, but not limited to, a wind charger, windmill, wind turbine, tower and electrical equipment, pad mount transformers, power lines, and substation, and other such components.

MCC § 3.48.005 (2013). Thus, under the amended version of section 3.48.005, machinery and mechanical equipment are considered fixtures if (1) their use increases value to the land, buildings, structures, fences, and improvements; (2) they are necessary to the utility of the land, buildings, structures, fences, and improvements; (3) they could not be removed without causing substantial damage to the land, buildings, structures, fences, or improvements; **or** (4) they are wind energy conversion property used to convert wind energy to a form of usable energy. Accordingly, machinery and mechanical equipment that were not considered "real property" under the prior version of section 3.48.005 because they were neither necessary to the utility of the land nor could not be removed without causing substantial damage to the land would now be considered "real property" if they increase the value to the land or are wind energy conversion property. In other words, that which was personal property under both the prior version of section 3.48.005 and common law would now be considered "real property" under the amended version of section 3.48.005 and taxed accordingly. The County's argument that it is not classifying personalty as realty is thus without merit.

The County attempts to justify its taxation of personal property by equating MCC § 3.48.005 **as amended** with HRS § 246-1. *See* Opening Brief at 24. Specifically, the County argues that HRS § 246-1 "does not exclude *any* type of property from potentially . . . becoming an assessable accession to the land." *Id.* (emphasis in original). Rather, any type of property may become an accession to realty, like with MCC § 3.48.005 "*if* they meet the requisite criteria provided in the MCC." *Id.* (emphasis in original). The County mischaracterizes the issue. While HRS § 246-1 does not exclude any type of property from becoming a fixture, with the exception of crops, it does set forth requirements that must be satisfied for an item to be deemed a fixture—(1) the item's use must be necessary to the utility of the land, or (2) the item could not be removed without causing substantial damage to the land, buildings, structures, fences, or improvements. *See* HRS § 246-1. The "requisite criteria provided in the MCC" materially differs

from HRS § 246-1,[7] as discussed *supra*. Therein lies the issue. By determining that property that adds value to the land and wind energy conversion equipment are "real property" even if they are not necessary to the utility of the land and can be removed without causing substantial damage to the land and the property, the County impermissibly includes personal property in its definition of "real property." As discussed *supra*, the County does not have the authority to redefine "real property" in such a way. *See supra* Section IV.A. Because "no provision of the Hawai'i Constitution or the HRS empowers the [County] to enact and enforce [MCC § 3.48.005 as amended], the [provision] is invalid." *Medeiros*, 89 Hawai'i at 365, 973 P.2d at 740.

2. The ICA appropriately adopted the *Zangerle* fixture test in *Kaheawa* because it is consistent with Hawai'i case law.

In an attempt to save the ordinance, the County resorts to attacking the ICA decision in *Kaheawa*, notwithstanding the fact that this Court rejected the County's request for review of the ICA's decision in that case. In *Kaheawa*, the ICA utilized "traditional common law 'fixture' analysis to determine that Turbines were not fixtures under the prior version of MCC § 3.48.005. *Kaheawa*, 135 Hawai'i at 210-11, 347 P.3d at 640-41. In making this determination, the ICA adopted the fixture analysis set forth in *Zangerle*, distinguishing between articles that "are merely accessory to the business" which remain personal property and articles that "have been annexed to the premises as accessory to it, whatever business may be carried upon it" thus becoming part of the realty. *Id.* (quoting *Zangerle*, 60 N.E.2d at 177).

The County first attempts to distinguish the ICA's conclusion that Turbines are not "real property" by pointing out that "that case 'turn[ed] on whether the wind turbines are either 'improvements' or 'fixtures' ***within the definition of 'real property' under MCC § 3.48.005.***" Opening Brief at 26 (emphasis in original). This is a distinction without a difference because, as discussed *supra*, the language of MCC § 3.48.005 analyzed by the ICA is identical to the statutory definition of "real property" prior to the enactment of article VIII, section 3 of the Hawai'i Constitution and consistent with the common law definition of "real property" at the

[7] To be clear, the pre-2013 version of MCC § 3.48.005 is not at issue. Thus, the fact that the pre-2013 version of section 3.48.005 is virtually identical to HRS § 246-1 has no bearing on this case. To the extent that the County asserts that the amended version of MCC § 3.48.005 is "virtually identical" to or "identically track[s]" HRS § 246-1, that is demonstrably incorrect.

same time. *See supra* Section IV.A.1. Thus, the same analysis applies here in determining what constitutes "real property" as defined in 1978 when section 3 was promulgated.

The County then turns to discrediting *Zangerle*, calling the decision "dated and outmoded," and asserting that the "Supreme Court of Ohio has consistently rejected the fixture test in *Zangerle*." *See* Opening Brief at 27-33. The County quotes *Kings Entertainment Co. v. Limbach*, 588 N.E.2d 777 (Ohio 1992), for the proposition that the *Zangerle* fixture test is no longer good law. *See id.* at 28. The County does not explain that the abandonment of the *Zangerle* fixture test was temporary. *See Funtime, Inc. v. Wilkins*, 822 N.E.2d 781, 786 (Ohio 2004) ("Although we previously abandoned any consideration of the appropriate-to-use test set forth in *Teaf*, 1 Ohio ST. 511, 1853 WL 54, for classifying real property, the General Assembly has reinstated that test for determining whether a structure is real or personal property."). Indeed, as the ICA noted, "[t]he principles in *Zangerle* have also been reaffirmed in more recent Ohio cases and recognized in a legal treatise." *Kaheawa*, 135 Hawai'i at 211, 347 P.3d at 641; *see also Metamora Elev. Co. v. Fulton Cnty. Bd. of Revision*, 37 N.E.3d 1223, 1229 (Ohio 2015) (confirming propriety of appropriate-to-use test); *Funtime, Inc.*, 822 N.E.2d at 787-88 (using *Zangerle* appropriate-to-use test to conclude that amusement park rides were not "real property" because there was "[n]o use independent of the amusement-park business"). Thus, contrary to the County's argument, the *Zangerle* fixture test remains good law.

The County also makes numerous unsupported arguments to call into question the ICA's adoption of the *Zangerle* fixture analysis. First, the County points to *Zangerle*'s "distinction between *agricultural* uses of property and *manufacturing*," asserting that that distinction renders *Zangerle* questionable. Opening Brief at 28-29. In support of this argument, the County misrepresents Judge Bartley's quote from *Teaff v. Hewitt*, 1 Ohio St. 511 (1853). *See id.* at 29. The "distinction" in the quote referred to the presumption that "articles annexed to the freehold for the purposes of trade or manufacture" had a greater right of removal than "those made for the purposes of agriculture." *See Teaff*, 1 Ohio St. at 532. By contrast, the principle relied upon in *Zangerle* and ultimately the ICA in *Kaheawa*—that articles placed on the realty as accessory to the business are personal in nature—is, as noted by Judge Bartley, "supported by high authority." *See id.* at 535; *see also Zangerle*, 60 N.E.2d at 177; *Kaheawa*, 135 Hawai'i at 211, 347 P.3d at 641.

Second, the County argues that, at the least, *Zangerle* "is of significantly limited value in interpreting the Maui County Code, and *as applicable to an electrical generation facility*." Opening Brief at 29 (emphasis in original). The two cases cited by the County in support of this argument are inapposite because both decisions were based on statutory language not present here. The decision in *Consolidated Edison Co. of N.Y. v. City of N.Y.*, 365 N.Y.S.2d 377, 80 Misc. 2d 1065 (N.Y. App. Div. 1975), was based on statutory language that explicitly included in its definition of "real property" power generating apparatus, machinery and equipment used in connection with generation and distribution of power. *Id.* at 1070, 1075 ("Neither would it aid the court to consider the cases holding what are or are not fixtures . . . because *the Tax Law has set up a standard of its own* which must govern the case." (emphasis in original)). Similarly, the decision in *Appeal of Borough of Aliquippa*, 175 A.2d 856 (Pa. 1961), was based on statutory language that explicitly excluded certain types of industrial equipment from the definition of "real property." *Id.* at 860 ("The intention of the legislature was clearly to abolish the tax on all parts of the machinery by removing machinery from real estate taxation, and with good reason."), 862 ("[I]t is obvious that the legislature, by this act, merely moved 'machinery, tools, appliances, and other equipment', which had by judicial interpretation been classified with real estate, into a separate class."). Thus, there is no authority supporting the County's assertion that *Zangerle*'s fixture analysis is inapplicable to an electrical generation facility under common law.

Third, the County asserts that "*Zangerle* does not lend any special insight or advantage into defining and/or identifying what *may* constitute assessable real property pursuant to the Maui County Code" because of distinctions between the Ohio Constitution and Hawai'i Constitution, namely the different tax treatment for personal property in the former.[8] *See* Opening Brief at 29-31. This is a red herring. The court in *Zangerle* answered the question of whether certain machinery was a "fixture" and thus "real property" by applying common law

[8] The County incorrectly argues that "the Hawai'i State Constitution does not at all speak to a distinction in treatment between personal and real property." Opening brief at 30. The Hawai'i Constitution does distinguish between "real property" which falls under the taxing authority of the counties, and all other property (i.e., personal property) which remains under the taxing authority of the State. *See* Haw. Const., art. VIII, § 3 ("The taxing power shall be reserved to the State . . . except that all functions, powers and duties relating to the taxation of real property shall be exercised exclusively by the counties, with the exception of Kalawao.").

principles. *See Zangerle*, 60 N.E.2d at 175. Those same common law principles are applicable here where the question is whether the Turbines fall into the common law definition of "real property" and are thus within the County's taxing authority. *See supra* Section IV.A (establishing that article VIII, section 3 of the Hawai'i Constitution conferred upon the counties the authority to tax "real property" as defined at common law); *see also Kaheawa*, 135 Hawai'i at 210, 347 P.3d at 640 (looking to "traditional common law 'fixture' analysis for guidance"); *Peters v. Weatherwax*, 69 Haw. 21, 27, 731 P.2d 157, 161 (1987) ("[T]he interpretation of well-defined words and phrases in the common law carries over to statutes dealing with the same or similar subject matter." (citation and internal quotation marks omitted)). That the Ohio Constitution provided for different tax rates once an item was determined to be realty or personalty is of no consequence to the analysis of whether the item is realty or personalty to begin with.

Fourth, the County argues that *Zangerle* "is certainly not more advantageous than analyses in any other number of jurisdictions in the United States for determining 'the adaptation of the article to the use or purpose of that part of the realty with which it is connected" and that "there are several other jurisdictions which appear closer to Hawai'i's in approach . . . and which provide common law principles and precepts much more useful in interpreting Hawai'i law." Opening Brief at 30-31. The County, however, neither addresses the one Hawai'i case touching on this issue nor provides any explanation as to why other jurisdictions are "closer to Hawai'i's approach."

In adopting *Zangerle*'s fixture test, the ICA noted that "[t]he principles discussed in *Zangerle* are consistent with the only Hawai'i case that appears to touch on this issue"—*Cartwright v. Widemann*, 9 Haw. 685 (Haw. Kingdom 1892). *Kaheawa*, 135 Hawai'i at 211, 347 P.3d at 632. As the ICA pointed out: "Significantly, the [*Cartwright*] court also stated that 'moveable machines, whose number and permanency are contingent upon the varying conditions of the business differ from engines and boilers and other articles secured by masonry and designed to be permanent and indispensable to the enjoyment of the freehold.'" *Id.* (quoting *Cartwright*, 9 Haw. at 691).[9] Thus, like the court in *Zangerle*, the *Cartwright* court distinguished

[9] Examples of fixtures include "drainage tubing installed on a parcel of real property, [a] cistern and related water system, [and a] heating system, [where] any subsequent buyer would have been

between machinery that is an accessory to the business and machinery that is "indispensable to the enjoyment of the freehold." For this reason, the *Zangerle* analysis is consistent with Hawai'i law.

In fact, the cases cited by the County as "closer to Hawai'i's in approach" are either inapposite to the issue or are inconsistent with the principles set forth in *Cartwright*. *See NYT Cable TV v. Audubon Borough*, 9 N.J. Tax 359, 367-68 (N.J. Tax. Ct. 1987) (interpreting New Jersey statute that replaced common law permanency test with inquiry into whether items of that type were "ordinarily intended to be affixed permanently to real property")[10]; *T-Mobile Northease, LLC v. DeBellis*, 143 A.D.3d 992, 995 (N.Y. App. Div. 2016) (stating that adaptability "contemplates both fitting the chattel to the particular purpose of the freehold, and the necessity of the chattel for complete use of the freehold"); *Am. Hydro Power Partners, L.P. v. City of Clifton*, 12 N.J. Tax 264, 270 (N.J. Tax Ct. 1991) (stating that by statute, the permanency of the item was determined by an objective standard); *Chevron U.S.A., Inc. v. City of Perth Amboy*, 9 N.J. Tax 205, 232 (N.J. Tax. Ct. 1987) (stating that by statute, the permanency of the item was determined by an objective standard); *Guardian Energy, LLC v. Cnty. of Waseca*, 868 N.W.2d 253, 260 (Minn. 2015) (determining that some of the tanks were excluded from taxation because they were "machinery . . . and equipment attached to or installed in real property for use in the business or production activity conducted thereon"); *King Ridge, Inc. v. Town of Sutton*, 340 A.2d 106, 110 (N.H. 1975) (applying statutory definition of "real property" that was broader than common law definition); *Nat'l Food Corp. v. Aurora Cnty. Bd. of Commn'rs*, 537 N.W.2d 564, 565-66 (S.D. 1995) (applying statutory language that defined "real property" as, *inter alia*, "structures . . . which are permanently affixed by foundation to the land upon which they are located"); *Cherry Bowl, Inc. v. Prop. Tax. App. Bd.*, 426 N.E.2d 326,

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able to make equal utilization of the system," *Jarvis v. Wells Fargo Fin. (In re Jarvis)*, 310 B.R. 330, 338 (Bankr. N.D. Ohio 2004). On the other hand, examples of "annexations of special-purpose, manufacturing or processing machinery and structures which could be used only in a particular business or industry and not in any normal use to which the land might be devoted," *see Zangerle*, 60 N.E.2d at 57, include "kilns on concrete slabs, an oxygen furnace used for the manufacture of steel, a caging system for an egg production facility, a hydraulic boat lift that rests on the floor of a harbor channel, and a radio transmission tower," *Jarvis*, 310 B.R. at 338.

[10] *See* discussion *infra* Section V.C.2.

(Ill. Ct. App. 1981)[11] (applying statutory presumption that "annexations made by an owner, as in the present case, are presumed to be made with the intent to permanently improve the premises"); *Consolidated Edison Co. of N.Y. v. City of N.Y.*, 365 N.Y.S.2d at 377 (relying on statutory language that explicitly included in its definition of "real property" power generating apparatus, machinery and equipment used in connection with generation and distribution of power); *Kings Entm't Co. v. Limbach*, 588 N.E.2d at 778 (relying on specific statutory language including "any property attached to land").[12] Thus, there is no legal or logical support for the County's assertion that another fixture test should be adopted.

3. The *Zangerle* fixture test is not vague and applies to the interpretation of the County's taxing authority under article VIII, section 3 of the Hawai'i Constitution.

The County continues to criticize the ICA's adoption of the *Zangerle* fixture test, asserting that the "concept of 'general inherent utility' which the *Kaheawa* opinion draws from *Zangerle* . . . is extremely vague in this context, and not useful in understanding the provisions of MCC § 3.48.005 or in the context of an appraiser's real property tax assessment." Opening Brief at 33-34. The County again mischaracterizes the issue before this Court. As explained *supra*, the issue here is whether the Turbines are "real property" under the common law definition and thus fall within the County's taxing authority. *See supra* Section IV.A (establishing that article VIII, section 3 of the Hawai'i Constitution conferred upon the counties the authority to tax "real property" as defined at common law). The principles adopted by the ICA in *Kaheawa* are applicable to this question.[13]

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[11] *Compare with Rothermich v. Union Planters Nat'l Bank*, 10 S.W.3d 610, 617 (Mo. Ct. App. 2000) (holding that bowling pin setting machines were not fixtures and noting that under "adaptation" element "[t]he item should be peculiarly adapted to the real property or premises").

[12] *Compare with Funtime, Inc.*, 822 N.E. 2d at 787-88 (finding that amusement park rides were not "real property" because there was "[n]o use independent of the amusement-park business").

[13] Contrary to the County's assertion, while the specific phrase "general inherent utility" does not appear in the *Zangerle* opinion, "the **notion** of 'general inherent utility'" does. As quoted by the ICA, the *Zangerle* court expounded the following: "But articles which have been annexed to the premises as accessory to it, **whatever business may be carried upon it, and not peculiarly for the benefit of a present business which may be of a temporary duration, become subservient to the realty and acquire and retain its legal character**." *Zangerle*, 60 N.E.2d at 177 (emphasis added)

The County feigns ignorance of what "general inherent utility" could possibly mean "[b]eyond the particular use to which the land has been put." Opening Brief at 36. *DirecTV, Inc. v. Town of N.H.*, 164 A.3d 371 (N.H. 2017), perfectly illustrates this distinction in a factually analogous scenario. In *DirecTV*, the taxpayer challenged the real property tax assessed on its antennas and batteries, arguing that the antennas and batteries were not "fixtures" and thus not "real property" for taxation purposes. *Id.* at 372. The trial court determined that the antennas and batteries were fixtures because they were "essential to the use of the building as an uplink facility" and thus "'essential to' the current use of the property." *Id.* at 375. On appeal, the Supreme Court of New Hampshire reversed the trial court's decision, concluding that the trial court "failed to properly apply the adaptation factor—that is, whether the item is 'specially adapted to the realty.'" *Id.* The court explained that "[a] review of our case law establishes that, in evaluating whether personalty has been adapted to the realty, the proper focus of the inquiry is upon the relationship of the personalty to the realty itself—the buildings or land—rather than to the business enterprise carried on at the property." *Id.* Applying this to the antennas, the court determined:

> [T]he antennas, although large and bolted in place, are "readily removable and transportable without affecting the utility of the underlying land, the buildings, or the equipment itself." . . . There are no peculiar characteristics of the land or the building that would render the antennas unfit for other commercial or professional uses if they were removed, and the antennas have equal utility if moved elsewhere. . . . If the antennas were removed, the only articles associated with the antennas that would remain on the land would be the concrete pads and the underground wiring, neither of which would detract from the fitness of the property for other uses.

Id. at 377 (citations omitted). The court ultimately concluded that "the antennas are personalty, rather than fixtures." *Id.* at 378. The court noted that its conclusion was "in accord with the holdings of numerous other courts in cases involving similar equipment," citing *Kaheawa* with approval. *Id.*

As *DirecTV* illustrates, the *Zangerle* fixture test adopted by the ICA in *Kaheawa* is neither vague nor difficult to understand. Moreover, the distinction between personal property that is "peculiar to the business being operated on the premises" and personal property that is "annexed to the premises as accessory to it, whatever business may be carried upon it" has been adopted and accepted by a number of courts and applied to various types of property. *See, e.g.*,

Zangerle, 60 N.E.2d at 177 (using test to determine that machinery was not fixture); *Perez Bar & Grill v. Schneider*, No. 11CA010076, 2012 WL 6105324, at *5 (Ohio Ct. App. Dec. 10, 2012) (finding, among other things, a bar and its attendant sinks, kitchen sinks and ventilation hood were peculiar to bar/restaurant business not "an integral and necessary part of the whole premises" but air conditioner that was part of central air conditioning system for entire building was "integral part of the whole premises and not adapted to benefit only the area of the building occupied by the bar and grill"); *Rothermich*, 10 S.W.3d at 617 (finding bowling pin spotter was not "fixture" because it was not "peculiarly adapted to the real property or premises" and was "usable at other locations"); *Colonial Pipeline Co. v. State Dept. of Assessments & Taxation*, 806 A.2d 648, 661 (Md. Ct. App. 2002) (concluding that pipeline was not a "fixture" because, *inter alia*, it was "not adapted to the use of the realty into which it is installed" and noting that "trade fixtures exception to common law rule of fixtures dates back almost as far as the common law rule itself"); *Stalcup v. Detrich*, 10 P.3d 3, 8 (Kansas Ct. App. 2000) (concluding that metal building bolted to farm land was not a fixture because "the building does not appear to be particularly adapted to the use of the farm on which it sits" finding that the type of building was "not particular to the real estate upon which [it sat]").

The *DirecTV* decision also illustrates the error in the County's reliance on *Crown Paper Co. v. City of Berlin*. Opening Brief at 37. The County asserts that *Crown Paper* demonstrates that the "adaptability prong of the fixture test in *Zangerle* set forth in the *Kaheawa* opinion should have analyzed 'the adaptation of the [wind turbine generators] to ***the use or purpose of that part of the realty*** with which [they are] connected[.]'" *Id.* (emphasis and alterations in original). However, as the court in *DirecTV* stated, the "intimately intertwined" standard is "distinct from" the *Zangerle* fixture analysis and applies only in "rare circumstances." *DirecTV*, 164 A.3d at 376-77.[14] Thus, *Crown Paper* does not refute or replace the *Zangerle* fixture

[14] "[F]or factory machinery to satisfy this standard, 'the trial court must determine that some characteristic of the underlying realty makes a special or other use of the factory machinery useful, and that the special or other use of the factory machinery renders the underlying realty useful.'" *DirecTV*, 164 A.3d at 376 (emphasis in original) (citation omitted). For example, in *King Ridge, Inc. v. Town of Sutton*, 340 A.2d 106 (N.H. 1975), the court determined that ski lifts installed at a ski area were taxable as realty because the exclusive use of the lifts was "intimately intertwined" with the property "which [had] been specifically cleared and graded for downhill skiing." *Id.* at 110. In other words, because the land had been cleared and graded to be a ski

analysis, *see, e.g.*, *id.* at 377-78 (applying *Zangerle* fixture test to determine that antennas were not "fixtures" and thus not "real property"), as the County suggests.

The County also cites to other cases, arguing that "other jurisdictions have recognized that the assessable utility of any improvement, structure, fixture, chattel, or personal property on land is a function of its promoting the use to which the land has been put . . . ." Opening Brief at 36. Setting aside the fact that a number of these cases do not even support the County's argument, *see, e.g.*, *Matter of Consolidated Edison Co.*, 365 N.Y.S.2d 377 (conclusion based on statutory language that explicitly included in its definition of "real property" power generating apparatus, machinery and equipment used in connection with generation and distribution of power); *King Ridge, Inc.*, 340 A.2d at 110 (relying on rare exception to traditional fixture analysis), the County offers no explanation as to why these cases are more consistent with Hawai'i law than *Zangerle*.

The County's repeated complaints about the ICA's adoption of the *Zangerle* fixture test do not change the fact that *Zangerle* remains good law and is consistent with Hawai'i authority on the same issue. The County has offered no explanation or legal support for its assertion that the law of other jurisdictions should be applied here.

Under the *Zangerle* fixture analysis, "the wind turbines are only necessary to the utility of the land or realty given the particular business that [Auwahi] is currently operating." *Kaheawa*, 135 Hawai'i at 211, 347 P.3d at 641. "The wind turbines are not accessory or useful to the land 'whatever business may be carried upon it[.]'" *Id.* (citing *Zangerle*, 60 N.E.2d at 177). "Thus the wind turbines are not 'fixtures' and are not 'real property.'" *Id.* As such, the Turbines fall outside of the County's taxing authority. *See supra* Section IV.A (establishing that the County only has the authority to tax "real property"). MCC § 3.48.005 purports to tax the Turbines as "real property" and is accordingly invalid. *See Medeiros*, 89 Hawai'i at 365, 973 P.2d at 740 (stating that if "no provision of the Hawai'i Constitution or the HRS empowers the [County] to enact and enforce the [provision], the [provision] is invalid").

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resort and the land could not be used as a ski resort without a "means of conveying people to the top of the ski runs" the ski lift was "intimately intertwined" with the realty and thus considered a "fixture." *Id.*

4. The value the Turbines add to the Property is not at issue because MCC § 3.48.005 is ultra vires.

The County states that "Appellant's appraisal expert has concluded that the adaptation of the wind turbine generators to the parcels in question have added immense value to the leasehold and freehold interests in the realty on which both KAHEAWA's and AUWAHI's wind farms are located." Opening Brief at 45. This is not relevant to the issue before this Court—whether the MCC § 3.48.005 as amended exceeds the County's taxing authority under article VIII, section 3 of the Hawai'i Constitution. As the County conceded before the Tax Appeal Court, the question of whether the Turbines add value to the Property "is a question that we only need to reach if and when the court concludes that the county's ordinance is not ultra vires." Tr. 34:10-23 (statement of counsel for the County). Having concluded that MCC § 3.48.005 was ultra vires, the Tax Appeal Court concurred that the question of what value the Turbines add to the Property "is not reached because of the threshold question of whether the counties have the power to legislate policy by redefining the term 'real property.'" *Id.* at 41:18-23.[15]

To the extent that the County argues that an item could be deemed a "fixture" solely because it adds value to the underlying land, this is inconsistent with both the common law and statutory definitions of "real property" in effect in 1978. *See supra* Section IV.A. The County cites absolutely no legal authority to support this proposition.

The County's "adds value" language destroys the distinction between "real property" and "personal property." As noted earlier, This consideration of whether something adds value is often stated as <u>one part</u> of the test for whether something qualifies as an "improvement": an "improvement" "encompasses everything that <u>permanently enhances the value</u> of premises for general use." *Ariz. Dep't of Revenue v. Ariz. Outdoor Advertisers, Inc.*, 41 P.3d 631, 634 (Ariz. Ct. App. 2002) (emphasis added) (citing 41 Am. Jur. 2d *Improvements* § 1 (1968)); *Cartwright v. Widemann*, 9 Haw. 685 (1892) (holding that machines bolted in place were "chattels" because they lacked "permanency"). Thus, to qualify as an improvement, the addition or betterment must (1) enhance value and (2) do so permanently.

[15] The County erroneously asserts that this statement by the Tax Appeal Court demonstrates that "the court expressly took no exception to Appellant's appraisal expert R.J. Kirchner's conclusions on this issue." Opening Brief at 44. The court did not even consider the opinion of the County's expert because the issue of value was not reached. *See* Tr. 41:18-23.

As noted earlier, an "improvement" is a broad category of "real property" that "usually refers to buildings but may also include any permanent structure or other development of the property," such as fences, roads, ditches, and "fixtures." 41 Am. Jur. 2d *Improvements* § 1 (emphasis added). Thus, the term "improvement" "certainly includes fixtures, but the term also includes such things as roads or ditches that usually are not classified as fixtures." *Ariz. Outdoor Advertisers*, 41 P.3d at 634. In other words, the term "improvement" embraces "a broader category of things than 'fixture.'" *Id.*

A "fixture" is an item of personal property that is affixed to real property and has become "a permanent part of the realty to which it is affixed." *Logan v. Mullis*, 686 S.W.2d 605, 607 (Tex. 1985). Thus, cases involving "bringing goods onto real property and affixing them . . . are suited to an analysis employing fixtures jurisprudence . . . ." *Arizona Outdoor Advertisers*, 41 P.3d at 634. That jurisprudence addresses whether a chattel is sufficiently "permanent" to qualify as a fixture and thus an improvement and real property. *See Logan*, 686 S.W.2d at 607. It looks to whether the chattel can be removed without substantial damage to the land, whether the chattel is necessary to the utility of the land, and whether there was an intention to make the article a permanent accession. *See e.g.*, *Kaheawa*, 135 Hawai'i at 210, 347 P.3d at 640. "The third criterion dealing with intention is preeminent, whereas the first and second criteria constitute evidence of intention." *Logan*, 686 S.W.2d at 607.

The reason that the County's "adds value" clause obliterates the distinction between "real property" and "personal property" is that it disregards the permanence requirement. As explained above, to qualify as an improvement, the addition or betterment must (1) add value and (2) do so permanently. Under the County's definition, any piece of machinery or equipment that is bolted in place could be taxable "real property" so long as it adds value to the land for any period of time, even if it could be removed without substantial damage to the land and even if is not necessary to the utility of the land. With the "adds value" clause, the County is including "personal property" in the definition of "real property."

Indeed, the County's "adds value" clause cannot be reconciled with this Court's decision in *Cartwright*, which held that machines bolted in place were not "fixtures" but were instead "chattels" or personal property, because they could be removed without injury to the surface to which they were attached. 9 Haw. at 689. Looking to common law principles, the court further

reasoned that the machines' "permanency [were] contingent upon the varying conditions of the business" and that they were not "indispensable to the enjoyment of the freehold." *Id.* at 690 (emphasis added). By contrast, the County's new ordinance disregards this requirement of permanence in determining when machinery is transformed from a chattel into real property.[16]

In contrast to the County's language, the definition of "real property"—found in the statute preceding the constitutional transfer of authority, in the County ordinance following the transfer, and in the common law—meaningfully distinguishes between real and personal property. This definition appropriately informs the meaning of "real property" in Section 3. Notably, this definition of "real property" goes hand in hand with the State's definition of "tangible personal property," which, as discussed below, defines machinery as personal property unless it is a "component[] of a building" or some "other inherently permanent structure." HAR § 18-235-110.7-04(b)(2) (emphasis added). Accordingly, for machinery or equipment to be transformed from "personal property" to "real property," machinery or equipment must (1) be necessary to the utility of the land, buildings, structures, fences, and improvements or (2) not be removable without substantial damage to the land, buildings, structures, fences, and improvements.

C. The County's Argument Regarding the Removability of the Turbines Is Without Merit and Has Been Waived.

1. The County waived the argument by failing to raise the alleged error before the Tax Appeal Court and in its Points of Error on appeal.

In a last ditch attempt to get around the ICA's decision in *Kaheawa*, the County raises a new argument disputing the removability of the Turbines. Opening Brief at 38-44. The County, however, waived this issue by failing to raise it before the Tax Appeal Court. *See Ass'n of Apt. Owners of Wailea Elua v. Wailea Resort*, 100 Hawai'i 97, 107, 58 P.3d 608, 618 (2002) ("Legal issues not raised in the trial court are ordinarily deemed waived on appeal.").

In its Motion for Summary Judgment, Auwahi sought an order determining, among other things:

[16] The County's "adds value" definition is also inconsistent with the Hawai'i Supreme Court's decision in *Adams v. Kauwa*, 6 Haw. 280, 281 (1881), where the court held that a house was not a fixture because it "rest[ed] on the stones, which rest on the earth," and as such the house "was personal property when put there, and continued as such ever afterward . . . ." *Id.* at 281.

> A. That MCC § 3.48.005 (2013) is invalid and unconstitutional insofar as it classifies the Turbines as "real property," [and]
>
> B. That the 2015 assessment is invalid and unconstitutional insofar as it classifies the Turbines as "real property."

818 ROA Vol. I at 51. To meet its burden, Auwahi offered the declaration of James R. Asay, Director - Corporate Tax of Sempra Energy, a parent company of Auwahi, to establish that "the Turbines [could] be unbolted and removed without harm to either the equipment or the land." *Id.* at 69, 73-76. Having met its burden of producing support for its claim that the Turbines were not "real property," the burden then shifted to the County "to respond to the motion for summary judgment and demonstrate specific facts, as opposed to general allegations, that present a genuine issue worthy of trial." *Jou v. Dai-Tokyo Royal State Ins. Co.*, 116 Hawai'i 159, 164, 172 P.3d 471, 476 (2007) (block formatting and citation omitted).

In opposition to Auwahi's motion, the County argued that "Article VIII, Section 3 of the Hawai'i Constitution Transferred to the counties broad powers of property taxation," 818 ROA Vol. II at 18-19, "neither Article VIII, Section 3 or Hawai'i Revised Statutes § 246-1 limit the definition of real property," *id.* at 19-20 and, "neither this honorable court or the Intermediate Court of Appeals ruled wind turbines are *de jure* personal property," *id.* at 20. The County, however, offered no evidence or argument to refute Auwahi's claim that the Turbines could be removed without harming the equipment or the land. *See generally id.* at 6-373. Therefore, summary judgment in favor of Auwahi was appropriately granted. *See Joy A. McElroy, M.D., Inc. v. Maryl Group, Inc.*, 107 Hawai'i 423, 438, 114 P.3d 929, 944 (Ct. App. 2005) (holding that since plaintiffs failed to address breach of duty argument in their opposition to the defendant's motion for summary judgment, the defendant should have been granted summary judgment as to that issue). The County cannot now raise the issue for the first time on appeal, *see Ass'n of Apt. Owners of Wailea Elua*, 100 Hawai'i at 107, 58 P.3d at 618.

The County also cannot introduce new evidence on appeal. The County asks the Court to "take judicial notice" of three journal articles discussing wind farms in Hawai'i. Opening Brief at 43. Setting aside the fact that these articles are inadmissible hearsay[17] and not an appropriate

[17] *See, e.g.*, *Porter v. Shinseki*, 650 F. Supp. 2d 565, 567 (E.D. La. 2009) ("Newspaper articles, however, are not proper summary judgment evidence to prove the truth of the facts that they report because they are inadmissible hearsay."); *AFMS LLC v. United Parcel Serv. Co.*,

subject for judicial notice,[18] the articles were not presented as part of the County's opposition to Auwahi's summary judgment motion. Under the applicable standard of review, each motion for summary judgment is reviewed based on the record presented to the court on the particular motion. *Koga Eng'g & Const., Inc. v. State*, 122 Hawai'i 60, 80 222 P.3d 979, 999 (2010). Plus, there is no basis to reconsider summary judgment in light of new arguments or evidence that could and should have been presented in earlier proceedings. *See, e.g.*, *Kamaka v. Goodsill Anderson Quinn & Stifel*, 117 Hawai'i 92, 104, 176 P.3d 91, 103 (2008).

In addition to failing to raise the argument below, the County failed to identify this issue in its Statement of Points of Error on appeal. *See* Opening Brief at 18-19. For this additional reason, the County has waived this argument. *See* Haw. R. App. P. 28(b)(4) ("Points not presented in accordance with this section will be disregarded[.]"); *Hogg v. Murakami*, 125 Hawai'i 381 n.2, 262 P.3d 670 n.2 (Ct. App. 2011) ("The Owners appear to introduce various additional arguments that were not identified in their points of error. These arguments are deemed waived.").

2. Even if the argument was not waived, the County's reliance on New Jersey case law is meritless.

Even if the County had not twice waived its argument regarding the removability of the Turbines, the case law the County relies upon is inapposite to the issue here because it is based on statutory language unique to New Jersey.

> The traditional common law test for determining whether an item of personal property has become a "fixture" requires three elements: (1) the actual or constructive annexation of the article to the realty, (2) the adaptation of the article to the use or purpose of that part of the realty with which it is connected, and (3) the **intention of the party making the annexation** to make the article a permanent accession to the freehold.

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105 F. Supp. 3d 1061, 1070 (C.D. Cal. 2015) ("It is axiomatic to state that newspaper articles are by their very nature hearsay evidence and are thus inadmissible if offered to prove the truth of the matter asserted.").

[18]Rule 201(b) of the Hawai'i Rules of Evidence limits judicially noticeable facts to those "not subject to reasonable dispute in that [they are] either (1) generally known within the territorial jurisdiction of the trial court, or (2) capable of accurate and ready determination by resort to sources whose accuracy cannot reasonably be questioned." The statements in the journal arguments proffered by the County cannot meet either standard.

Kaheawa, 135 Hawai‘i at 210, 347 P.3d at 640 (emphasis added) (block formatting and emphasis omitted) (quoting 35 A Am.Jur.2d *Fixtures* § 4). The third prong of this test is determined by considering "the nature of the article affixed, the relation and situation of the party making the annexation, the structure and mode of annexation, and the purpose or use for which the annexation has been made." *Perez Bar & Grill v. Schneider*, 2012 WL 6105324, at *6 (Ohio Ct. App. Dec. 10, 2012) (cited favorably by *Kaheawa*, 135 Hawai‘i at 210, 347 P.3d at 640); *see also Union Elevator & Warehouse Co. v. State ex rel. Dept. of Transp.*, 183 P.3d 1097, 1102 (Wash. Ct. App. 2008) ("Factors pertinent to intent include 'the nature of the article affixed, the relation and situation to the freehold of the annexor, the manner of annexation, and the purpose for which annexation is made."); *Wy. State Farm Loan Bd. v. Farm Credit Sys. Capital Corp.*, 759 P.2d 1230, 1234-35 (Wy. 1988) ("Circumstances bearing on a determination of objective intent include the nature of the article affixed, the purpose it serves on the land and the annexor's relationship to the article and to the land."); *Wayne Cnty. v. William G. Britton & Virginia M. Britton Trust*, 563 N.W.3d 674, 680 (Mich. 1997) ("Intent may be inferred from the nature of the article affixed, the purpose for which it was affixed, and the manner of annexation."). In other words, this is a fact intensive inquiry specific to each case. *See, e.g.*, *JJID, Inc. v. Delaware River Indus. Park, LLC*, C.A. No. 03L-06-087-PLA, 2007 WL 2193735, at *3 (Del. Super. Ct. Jul. 30, 2007) (stating that "[w]hether a chattel has become a fixture to real estate is a factual question" and rejecting on summary judgment "testimony based on [the witness's] general knowledge, and not on the facts involved with the installation and removal of the water jet system in this case").

New Jersey, however, moved away from the common law fixture test which was "intended by the party making the annexation to be a permanent accession to the freehold," and instead adopted a statute defining "real property" as, among other things, "personal property affixed to the real property or an appurtenance thereto unless: . . . the personal property so affixed is not ordinarily intended to be affixed permanently to real property." *See NYT Cable TV*, 9 N.J. Tax at 367. In other words, under New Jersey law, the inquiry was not specific to the subject property, but rather a more abstract inquiry as to whether items of that type were "ordinarily intended to be affixed permanently to real property." Thus, an item could be removed without causing material injury to itself or the realty and yet be deemed "real property" because

articles of that nature are of the type "ordinarily intended to be affixed permanently to real property." *See, e.g.*, *Chevron U.S.A., Inc.*, 9 N.J. Tax at 244 ("In sum, even though Chevron's refinery could be removed without material injury to itself or the real property, this court finds that the machinery, equipment and process units implicated in Chevron's refinery are ordinarily intended to be affixed permanently to real property pursuant to c. 117.").

The County's reliance on New York case law is similarly misplaced. Those cases rely on statutory language that explicitly includes in its definition of "real property" power generating apparatus, machinery and equipment used in connection with generation and distribution of power. *See, e.g.*, *Matter of Consolidated Edison Co. of N.Y.*, 80 Misc.2d at 1079. This is a departure from common law principles and specific to the State of New York. *See id.* (noting that "it is and always has been the policy of this State and the intention of the Legislature that power-generating apparatus and machinery and equipment, whether movable or permanently affixed to realty, used in connection with the generation and distribution of power and an integral component part of a unified system -- are taxable as real property per se under subdivision 12 of section 102 of the Real Property Tax Law because they generate and distribute power" and thus "historic tests and common-law rules defining fixtures simply are not determinative of what is properly taxable as real property in this area").

The County provides no argument or legal authority to support its reliance on New Jersey and New York cases that are based on statutory language unique to those states and depart from well-established common law fixture principles. Accordingly, even if the County had not twice waived its argument regarding the removability of the Turbines, its argument is without merit.[19]

[19] On the issue of removability, the lease between Auwahi and the lessor provides that Auwahi may remove the Turbines at any time and that, upon termination of the lease, Auwahi must remove the Turbines from the premises. 818 ROA Vol. I at 75; Ex. 3 (lease) at 8, 28; *see also Glenville Cablesystems Corp. v. State Tax Comm'n.*, 531 N.Y.S.2d 137, 139 (Sup. Ct. App. Div. 1988) (finding that a cable television system was taxable as personal property because it was not intended to be permanently affixed to real property, given that, *inter alia*, its distribution system was attached to utility poles pursuant to franchise agreements and the distribution system was required to be removed at the end of the agreements). Accordingly, the Turbines were not intended to be permanent by "express declaration" of the parties to the lease. *See Zangerle v. Std. Oil Co.*, 60 N.E.2d 52, 57 (Ohio 1945).

D. Concluding that the Turbines are Personal Property, and Not Real Property, Promotes Uniformity and Consistency in the Tax Laws.

The foregoing conclusion that the Turbines are not "real property" is reinforced by the determinations made by the state and federal taxing authorities. The United States Internal Revenue Service has accepted the classification of wind turbines as tangible personal property for purposes of energy credits and depreciation methods. *See* 26 U.S.C. §§ 48(a)(3) (energy credit), 168(e)(3)(B)(iv) (depreciation) (Internal Revenue Code); IRS Private Letter Ruling 9007042, 1990 WL 698490 (1990) ("The [wind turbine] generators are 'tangible personal property' . . . .").

Likewise, the State of Hawai'i Department of Taxation has classified the turbines as "tangible personal property" and accordingly approved capital good excise tax credits under HRS § 235-110.7(e) with respect to its turbines. Kaheawa, *Kaheawa*, 135 Hawai'i at 205, 347 P.3d at 635. According to the State: "[A]ll property in the nature of machinery (other than structural components of a building or other inherently permanent structure) shall be considered tangible personal property even though located outside a building. For example, a gasoline pump, hydraulic car lift, or automatic vending machine, although annexed to the ground, shall be considered tangible personal property." Hawai'i Administrative Rules § 18-235-110.7-04(b)(2).

Similar to "production machinery" and "hydraulic car lift[s]," the Turbines, "although [bolted] to the ground, [should] be considered tangible personal property." *See id.* The Turbines are not "inherently permanent structures." *See id.* Consistent with the views of the state and federal taxing authorities, the Turbines remain "personal property" and have not been converted to "real property." Determining that the Turbines are personal property, and not real property, for taxation purposes is not only correct, but also serves to promote uniformity and consistency in the tax laws. *Cf. Bashinsky v. Sparks*, 146 So. 2d 303, 306 (Ala. 1962) ("Uniformity between state tax laws and federal tax laws is most desirable.").

VI. CONCLUSION

The Turbines are personal property, not real property, for purposes of Section 3. What that means is that the authority to tax them does not belong to the County, but rather to the State. As such, the County's ordinance and assessment taxing the Turbines were properly held invalid. *See Medeiros*, 89 Hawai'i 361, 370, 973 P.2d 736, 745 (1999) ("Because the state has not

empowered the city to impose such a tax, the ordinance was invalid."). For all the foregoing reasons, the Tax Appeal Court's order and judgment should be affirmed.

DATED: Honolulu, Hawaii, July 11, 2018.

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AUWAHI WIND ENERGY LLC

SCAP-17-0000816

IN THE SUPREME COURT OF THE STATE OF HAWAII

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Supreme Court
SCAP-17-0000816
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In the Matter of the Appeal of

KAHEAWA WIND POWER, LLC,

Taxpayer-Appellant.

CIVIL NO. 16-1-0229

Case Nos. TX 14-1-0266 and consolidated case TX 16-1-0272, TX 14-1-0267 and consolidated case TX 16-1-0273, and 1 X 16-1-0275, 1 TX 15-1-0238, 1 TX 16-1-0328 (Other Civil Action)

Consolidated Case Nos. CAAP-17-0000816, CAAP-17-0000817, CAAP-17-0000818, CAAP-170000819, CAAP-17-0000820

CAAP-17-0000816 - APPEAL FROM 1) ORDER GRANTING TAXPAYER-APPELLANT KAHEAWA WIND POWER LLC'S MOTION FOR PARTIAL SUMMARY JUDGMENT FILED SEPTEMBER 1, 2016, FILED APRIL 25, 2017, 2) ORDER DENYING APPELLEE COUNTY OF MAUI'S MOTION FOR SUMMARY JUDGMENT AND FOR DISMISSAL OF TAXPAYER-APPELLANT KAHEAWA WIND POWER LLC'S TAX APPEALS FILED NOVEMBER 12, 2014 AND FEBRUARY 3, 2014, FILED FEBRUARY 3, 2017, FILED MAY 15, 2017, AND 3) STIPULATION FOR ENTRY OF JUDGMENT; FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000817 -APPEAL FROM CAAP-17-0000817 - APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000818 - APPEAL FROM 1) ORDER GRANTING TAXPAYER-APPELLANT AUWAHI WIND ENERGY LLC'S AUGUST 31, 2016 MOTION FOR SUMMARY JUDGMENT FILED APRIL 26, 2017, 2) ORDER DENYING APPELLEE COUNTY OF MAUI'S FEBRUARY 3, 2017 MOTION FOR SUMMARY JUDGMENT ET SEQ., FILED MAY 14, 2017; AND STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000819-APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000820 - APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

Tax Appeal Court, State of Hawai`i
Judge: Honorable Gary W.B. Chang

APPENDIX INDEX

A. *JJID, Inc. v. Delaware River Indus. Park, LLC*, C.A. No. 03L-06-087-PLA, 2007 WL 2193735 (Del. Super. Ct. Jul. 30, 2007)

B. *Kaheawa Wind Power, LLC v. Cnty. of Maui*, No. SCWC-12-0000728, 2015 WL 745424 (Haw. Feb. 19, 2015)

C. *Perez Bar & Grill v. Schneider*, No. 11CA010076, 2012 WL 6105324 (Ohio Ct. App. Dec. 10, 2012)

DATED: Honolulu, Hawaii, July 11, 2018.

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SCAP-17-0000816
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2007 WL 2193735
Only the Westlaw citation is currently available.

UNPUBLISHED OPINION. CHECK COURT RULES BEFORE CITING.

Superior Court of Delaware,
New Castle County.

JJID, INC., a Delaware corporation, Plaintiff,
v.
DELAWARE RIVER INDUSTRIAL PARK, LLC, a Delaware limited liability company, Hardcore Composites, LLC, a Delaware limited liability company, Hardcore Composites, Ltd., a Delaware corporation, Defendants.
Flow Robotic Systems, a division of Flow International Corporation, Intervenor.

C.A. No. 03L-06-087-PLA.
|
Submitted: May 11, 2007.
|
Decided: July 30, 2007.

Upon Consideration of Plaintiff's Motion for Summary Judgment. **DENIED.**
Upon Consideration of Intervenor's Motion for Summary Judgment. **DENIED.**

Attorneys and Law Firms

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MEMORADUM OPINION

ABLEMAN, Judge.

I.

*1 Before the Court are cross-motions for summary judgment filed by Plaintiff JJID, Inc. ("JJID") and Intervenor Flow Robotics Systems ("Flow"). JJID seeks a declaration that its mechanic's lien on Defendants Hardcore Composites, LLC and Hardcore Composites, Ltd.'s (collectively "Hardcore") leased property at 618 Lambson Lane, New Castle, Delaware ("the Property") encompasses a water jet system. That is, JJID claims the water jet system, which was manufactured and delivered to the Property by Flow, became a fixture of the Property and, therefore, its mechanic's lien should attach to the water jet system. Flow, however, contends there is not enough evidence to conclude that the water jet system ever became a fixture of the Property. Flow further alleges that JJID's lien cannot attach to the water jet system because neither Flow nor DRIP gave written consent to Hardcore to install the water jet system as required by DEL.CODE ANN. tit. 25, § 2722 ("Section 2722"). The Court finds that whether the water jet system was a fixture of the Property presents a genuine issue of material fact and that Section 2722 is neither controlling nor applicable in this case. Therefore, JJID's Motion for Summary Judgment and Flow's Motion for Summary Judgment are **DENIED.**

II.

Delaware River Industrial Park, LLC ("DRIP") is the owner of the Property. DRIP leased its property to Hardcore. On January 6, 2003, Hardcore contracted with JJID to construct a concrete foundation on the Property so that it could accommodate a water jet system. The contract price for the concrete foundation was $26,190. Pursuant to the agreement, JJID furnished material and labor to Hardcore and completed the construction of the

Appendix A

concrete foundation for the water jet system.[1]

On February 10, 2003, Hardcore and Flow entered into a contract whereby Hardcore financed the purchase of a water jet system from Flow in exchange for Hardcore's payment of five monthly installments totaling more than $300,000. As agreed, Flow delivered the water jet system to Hardcore.[2] However, some time after the equipment was delivered by Flow, Hardcore breached its contract with both JJID and Flow by failing to pay either in full.

JJID subsequently filed this mechanic's lien action against Hardcore. On January 14, 2004, the Court granted the mechanic's lien by entering a Judgment by Default against DRIP and Hardcore.[3]

Flow also filed an action against Hardcore in the United States District Court for the District of Delaware seeking damages for breach of contract and return of the water jet system. JJID attempted to intervene in Flow's federal lawsuit against Hardcore by asserting that its mechanic's lien extended not only to the real estate owned by DRIP and leased by Hardcore, but also to the water jet system.[4]

In June 2004, JJID and Flow entered into a stipulation whereby Flow deposited $26,190 with the Prothonotary in consideration of JJID's agreement to withdraw its intervention in Flow's district court case.[5] After the stipulation was entered, Flow removed the water jet system. JJID and Flow also entered into a stipulation allowing Flow to intervene in this action. The parties now agree that the only issue that remains unresolved is whether JJID's mechanics' lien attaches to the water jet system.[6]

III.

*2 In its motion for summary judgment, JJID claims the water jet system is a fixture of the Property and therefore argues its mechanic's lien should attach to the water jet system. As support, JJID relies solely on the testimony of Scott Hemphill, President of Hardcore. In a hearing in the district court proceeding, Mr. Hemphill stated the following:

> [T]here's big metal frames [of the water jet system] that are imbedded in this-in these concrete foundations, and the-then the concrete foundations are further reinforced with reinforcing bar and the water jet machine is welded to these-these metal imbedments that are in the floor of the building. The machine is pretty much is pretty much permanently there.[7]

Based on this testimony, JJID maintains that the water jet system was permanently attached to the concrete foundation and, as such, lost its identity as personal property and became fixed to the Property.[8] Therefore, JJID concludes that its mechanic's lien attaches to the water jet system and its motion should be granted.[9]

In response, Flow asserts that JJID's lien does not attach to the water jet system because it never became a fixture of the Property. Flow contends that JJID has offered no credible evidence demonstrating how Flow's equipment became affixed to the real estate such that it lost its identity as personal property. Flow claims that Mr. Hemphill's testimony does not explain how the foundation was affected when Flow's water jet system was removed, but rather that Mr. Hemphill only speculated as to what events would have occurred. Therefore, Flow argues that, because of the speculative nature of Mr. Hemphill's testimony, and further because JJID solely relies upon that testimony, JJID cannot establish that its lien attaches to the water jet system. Accordingly, Flow concludes that JJID's motion should be denied.[10]

In Flow's motion for summary judgment, it argues that JJID's mechanic's lien can not attach to the water jet system pursuant to Section 2722.[11] Flow contends that Hardcore, because it had a leasehold interest in the water jet system, was required under Section 2722 to obtain written consent from both Flow and DRIP prior to installing the water jet system into the concrete foundation. That is, because Flow is the lessor/owner of the water jet system and leased its system to Hardcore, Hardcore was required by Section 2722 to obtain written consent from Flow and DRIP prior to the installation of the water jet system. Therefore, Flow concludes that, because Hardcore did not obtain Flow's or DRIP's prior written consent, JJID's lien cannot attach to the water jet system.[12]

In response, JJID argues that Flow lacks standing to assert the "prior written consent" provision because Flow has cited no case law that permits a third-party vendor (Flow), as opposed to a real property owner (DRIP), to claim Section 2722 as a defense. JJID further claims that Flow has failed to prove there was no written consent between Flow and Hardcore. Therefore, JJID concludes that Flow is not entitled to summary judgment.[13]

IV.

*3 In considering a motion for summary judgment, the Court's function is to examine the record to ascertain whether genuine issues of material fact exist and to determine whether the moving party is entitled to judgment as a matter of law. The court will view the record in the light most favorable to the non-moving party and will draw all rational inferences in favor of the non-movant based upon the undisputed facts and the non-movant's version of any disputed facts. If the Court finds that material facts are in dispute or that judgment as a matter of law is not appropriate, summary judgment will be denied. However, if no material facts are in dispute and the moving party is entitled to judgment as a matter of law, summary judgment will be granted.[14]

The standard of review "is not altered because the parties have filed cross-motions for summary judgment."[15] As the Supreme Court has observed:

[T]he existence of cross motions for summary judgment does not act *per se* as a concession that there is an absence of factual issues. Rather, a party moving for summary judgment concedes the absence of a factual issue and the truth of the nonmoving party's allegations only for the purposes of its own motion, and does not waive its right to assert that there are disputed facts that preclude summary judgment in favor of the other party. Thus, the mere filing of a cross motion for summary judgment does not serve as a waiver of the movant's right to assert the existence of a factual dispute as to the other party's motion.[16]

V.

A. Fixture

A fixture is defined as "[p]ersonal property that is attached to land or a building and that is regarded as an irremovable part of the real property [.]"[17] To determine whether or not a chattel has become a fixture, the Court must look at "the intention of the party making the annexation as disclosed by the surrounding circumstances."[18] Several factors are taken into consideration in order to determine the intent of the party, such as the "nature of the chattel, the mode of its annexation, the purpose or use for which the annexation has been made, and the relationship of the annexor to the property."[19] "[W]hether a chattel has become a fixture to real estate is a factual question."[20]

In this case, the only evidence JJID has provided to establish that the water jet system was a fixture of the Property is the testimony of Mr. Hemphill. This alone is not sufficient evidence to warrant summary judgment. Mr. Hemphill's testimony is purely speculative as he testified only as to what he thought might happen when actually attempting to install and remove the water jet system from the Property. His testimony was based on his general knowledge, and not on the facts involved with the installation and removal of the water jet system in this case. The Court is, therefore, reluctant to rely solely on Mr. Hemphill's testimony in making a finding as to whether the water jet system was a fixture of the Property. Accordingly, whether the system was a fixture remains a genuine issue of material fact that should be decided by the trier of fact.

B. Section 2722

*4 To reiterate, Section 2722 provides:

> Nothing contained in this subchapter shall be construed to render property liable to liens under this chapter for repairs, alterations or additions, when such property has been altered, added to or repaired by or at the instance of any lessee or tenant without the prior written consent of the owner or his duly authorized agent.[21]

"The obvious basis for the consent requirement is that the owner should not be held liable for erections or repairs that he did not authorize."[22] "In other words, [Section] 2722 was meant to ensure that one who holds an interest in *realty* does not have the interest subjected to a lien unless they have consented to the work for which a lien is claimed."[23]

In those cases that have addressed the "prior written consent" provision of Section 2722, all have considered Section 2722 in the context of obtaining consent from real property owners/lessors/landlords (such as DRIP), as opposed to personal property owners/lessors (such as

Flow). Nevertheless, even though Flow is an owner of personal property (the water jet system) and not a real property owner, Flow maintains that Hardcore, as lessee, was required under Section 2722 to obtain written consent from both Flow and DRIP prior to installing the water jet system. Flow contends that, because Section 2722 does not define "property," Section 2722 may be applied to a situation involving owners of personal property and not merely real property owners. As such, Flow argues that Hardcore was required to obtain Flow's written consent prior to the installation of the water jet system and, because it did not obtain that consent, JJID's lien cannot attach to the water jet system. The Court does not agree.

"[A] cursory reading of [Section 2722] indicates an intention that that section be applicable [w]henever a *landlord-tenant relationship* exists."[24] Stated differently, Section 2722 is *not* applicable unless it is determined that "a *landlord-tenant relationship* existed at the time of the contract ."[25] The term "prior written consent" contained in Section 2722 has generally been construed "as requiring a *landowner's* written consent to the tenant's erection of the improvement."[26] Therefore, "where labor or materials are supplied to the owner of the leasehold interest in a *structure,* the supplier may obtain a mechanic's lien on that leasehold interest."[27] That mechanic's lien, however, "is limited to the leasehold interest, unless the *fee simple* owner has expressly consented, in writing, to the pertinence of the work for which the lien is sought."[28]

Flow cites no authority where Section 2722 was applied in the context of obtaining the prior written consent of an owner/lessor of personal property. The Court likewise was unable to locate any cases where Section 2722 was applied in such a context. Similarly, a review of the legislative history of Section 2722 reveals no evidence of a situation where the consent of a personal property owner was contemplated. The Court is, therefore, unwilling to interpret Section 2722 as requiring a lessee (Hardcore) to obtain the written consent of a lessor/owner (Flow) of personal property prior to installing or adding that personal property to the real property as a fixture. Section 2722 was not intended to apply to such a situation and, as such, the prior written consent of a personal property owner should not be a prerequisite to attaching a mechanic's lien to that specific personal property, if and when, it becomes a fixture of the property.

VI.

***5** For all of the foregoing reasons, the Court finds that whether the water jet system was a fixture of the Property is a disputed issue of material fact that should be decided by the trier of fact. The Court is also satisfied that Section 2722 is neither controlling nor applicable in making the determination of whether Flow's water jet system became a fixture of the Property. Accordingly, both JJID's and Flow's motions for summary judgment are **DENIED.**

IT IS SO ORDERED.

All Citations

Not Reported in A.2d, 2007 WL 2193735

Footnotes

1 *See* Docket 1, p. 2.

2 There is a dispute as to whether the water jet system equipment was actually ever "installed."

3 JJID and DRIP later stipulated to vacate the default judgment as to DRIP. The judgment against Hardcore, however, was not disturbed. *See* Docket 5.

4 See Docket 23, p. 3.

5 Pursuant to FED.R.CIV.P. 41, Flow and Hardcore stipulated to the dismissal of the district court action.

6 See Docket 22, p. 2.

7 *See* Docket 14, Ex. F.

8 As support, JJID cites to *McHugh Elec. Co. v. Hessler Realty Dev. Co.,* 129 A.2d 654, 659 (Del.1957).

9 *See* Docket 26, p. 3.

10 *See* Docket 23, p. 3.

11 Section 2722 states:
Nothing contained in this subchapter shall be construed to render property liable to liens under this chapter for repairs, alterations or additions, when such property has been altered, added to or repaired by or at the instance of any lessee or tenant without the prior written consent of the owner or his duly authorized agent.

12 *See* Docket 23, p. 3.

13 *See* Docket 26, p. 2-3.

14 *See* SUPER. CT. CIV. R. 56; *Merrill v. Crothall-American, Inc.,* 606 A.2d 96, 99-100 (Del.1992); *Ebersole v. Lowengrub,* 180 A.2d 467, 470 (Del.1962); *Storm v. NSL Rockland Place, LLC,* 898 A.2d 874, 879 (Del.Super.Ct.2005); *Oliver B. Cannon & Sons, Inc. v. Dorr-Oliver, Inc.,* 312 A.2d 322, 325 (Del.Super.Ct.1973).

15 *Haas v. Indian River Vol. Fire Co.,* 2000 WL 1336730, at *3 (Del. Ch. Aug. 14, 2000) (citation omitted).

16 *Sexton v. State Farm,* 2003 WL 23274849, at *3 (Del.Super.Ct. Dec. 30, 2003) (citing *United Vanguard Fund, Inc. v.. Takecare, Inc.,* 693 A.2d 1076, 1079 (Del.1997)) (citation omitted)).

17 Black's Law Dictionary 652 (7th ed.1999).

18 *Wilmington Hous. Auth. v. Parcel of Land,* 219 A.2d 148, 150 (Del.1966) (citing *Martindale v. Bowers Beach Corp.,* 118 A. 299, 301 (Del. Ch.1922)); *Equitable Guarantee & Trust Co. v. Knowles,* 67 A. 961, 968 (Del. Ch. 1896).

19 *Id.*

20 *Tallent v. Meredith,* 1988 WL 67866, at *4 (Del.Super. Ct. June 20, 1988).

21 DEL.CODE ANN. tit. 25, § 2722. *See also Lakewood Builders, Inc. v. Vitelli,* 1987 WL 10533, at *6 (Del. Super Ct. Apr. 29, 1987) (In this jurisdiction, " 'consent' is consent to the improvements and not to the lien.").

22 *Dept. of Cmty. Affairs & Econ. Dev. v. M. Davis & Sons, Inc.,* 412 A.2d 939, 944 (Del.1980) (quoting *In re Fleetwood Motel Corp.,* 335 F.2d 863, 866 (3rd Cir.1964) (emphasis supplied)).

23 *Hoffman v. Siegel,* 1991 WL 113431, at *2 (Del.Super. Ct. Jun 13, 1991) (emphasis supplied).

24 *Silverside Home Mart, Inc. v. Hall,* 345 A.2d 427, 430 (Del . Super.Ct. Sept. 19, 1975) (emphasis supplied).

25 *Ro Ran Corp. v. DiStefano,* 1987 WL 12431, at *2 (Del.Super . Ct. Jun. 15, 1987) (emphasis supplied).

26 *Dept. of Cmty. Afairs & Econ. Dev.,* 412 A.2d at 944 (emphasis supplied).

27 *Wilmington Trust Co. v. Branmar, Inc.* 353 A.2d 212, 215 (Del.1976) (emphasis supplied).

28 *Id. See also McHugh Elec. Co.,* 129 A.2d at 660 ("[Section] 2722 provides that no mechanic's lien shall attach to the

fee interest in the land when the repairs, alterations or additions which give rise to the claims for a lien have been performed 'without the prior written consent of the owner.' ") (emphasis supplied); *Daystar Sills, Inc. v. Chilibilly's, Inc.*, 2004 WL 2419133, at *4 (Del.Super.Ct. Oct. 13, 2004) ("The call for a written authorization from the *Landlord* in [Section 2722] is to ensure that a *landlord* knows his property will be subject to a potential lien") (emphasis supplied).

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2015 WL 745424
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Unpublished opinion. See HI R RAP Rule 35 before citing.

Supreme Court of Hawai'i.

In the Matter of the Tax Appeal of KAHEAWA WIND POWER, LLC,
Respondent/Taxpayer/Appellant–Appellee/Cross–Appellant,
v.
COUNTY OF MAUI,
Petitioner/Appellee–Appellant/Cross–Appellee.

No. SCWC–12–0000728.
|
Feb. 19, 2015.

Certiorari to the Intermediate Court of Appeals (CAAP–12–0000728; Tx. No. 10–1–1246 and Consolidated Cases Tx Nos. 10–1–1247, 10–1–1248, 10–1–1249 & 11–1–0035).

Attorneys and Law Firms

Patrick K. Wong and Richard B. Rost, for petitioner.

Ronald I. Heller and Brian W. Tilker, for respondent.

RECKTENWALD, C.J., NAKAYAMA, McKENNA, POLLACK, and WILSON, JJ.

ORDER REJECTING APPLICATION FOR WRIT OF CERTIORARI

***1** Petitioner/Appellee–Appellant/Cross–Appellee County of Maui's Application for Writ of Certiorari, filed on January 16, 2015, is hereby rejected.

All Citations

Not Reported in P.3d, 2015 WL 745424

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Appendix B

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2012 WL 6105324

CHECK OHIO SUPREME COURT RULES FOR REPORTING OF OPINIONS AND WEIGHT OF LEGAL AUTHORITY.

Court of Appeals of Ohio,
Ninth District, Lorain County.

PEREZ BAR & GRILL, Appellee
v.
George SCHNEIDER, Appellant.

No. 11CA010076.
|
Decided Dec. 10, 2012.

Synopsis
Background: Previous tenant of commercial property brought action against purchaser of property at sheriff's sale seeking to recover personal property left inside building at time of sale. Following remand from the Court of Appeals, 2010 WL 1227706, the Court of Common Pleas, Lorain County, No. 09CA009573, determined that personal property were trade fixtures and awarded tenant damages. Purchaser appealed.

Holdings: The Court of Appeals, Dickinson, J., held that:

[1] tenant was not required to exhaust remedies in replevin action prior to bringing conversion action;

[2] purchaser did not become presumptive owner of personal property;

[3] bar, ventilation hood, and sinks were trade fixtures;

[4] vinyl awning was trade fixture;

[5] rooftop air conditioner was not trade fixture;

[6] tenant did not abandon property; and

[7] trial court properly determined value of property.

Affirmed as modified.

Appeal from Judgment Entered in the Court of Common Pleas, County of Lorain, Ohio, Case No. 09CA009573

Attorneys and Law Firms

Brent L. English, Attorney at Law, for appellant.

Jeffrey H. Weir, II, Attorney at Law, for appellee.

DICKINSON, Judge.

INTRODUCTION

***1** { ¶ 1} After buying a commercial building at a sheriff's sale, George Schneider refused to allow a tenant of the building to recover personal property left inside at the time of the sale. Perez Bar & Grill L.L.C., through Josue Perez, sued Mr. Schneider for replevin and conversion of various items of restaurant and bar equipment and decorations. The trial court ruled that all but one of the contested items were trade fixtures and awarded Perez Bar & Grill $9330. This Court has modified the judgment to $9230 because the trial court incorrectly determined that the rooftop air conditioning unit is a trade fixture as opposed to a fixture that passes with the real estate.

BACKGROUND

{ ¶ 2} In 2005, Thomas Patrick owned a three-story brick building on Broadway Avenue in Lorain. Mr. Perez began renting the building without a written lease, intending to open a bar and grill called Josh's Place. For ten months before he opened the bar, Mr. Perez worked to prepare the space on the first floor of the building. He and his father put significant work into building a large wooden bar with a substantial back bar capable of holding a large quantity of liquor. He also installed a number of coolers, freezers, sinks, refrigerators, and other restaurant equipment and furniture. He had an awning installed outside the front door and a large ventilation hood with a fire suppression system and a stainless steel backsplash installed over the stove. In May 2006, Josh's Place opened to the public. In August 2007, Mr. Perez installed a new central air conditioning unit on the roof of the

Appendix C

building.

{ ¶ 3} Mr. Patrick lost the building to a tax foreclosure auction in September 2007. He testified that, in 2006, he told Mr. Perez that he had a tax problem but had avoided foreclosure by entering into a payment plan with the City. Later, when he fell behind on those payments, he did not tell Mr. Perez. Although Mr. Patrick knew the building was scheduled to be sold at a sheriff's sale in early September 2007, he again failed to tell Mr. Perez. Mr. Schneider bought the building at the sheriff's sale on September 5, 2007.

{ ¶ 4} Mr. Perez and Mr. Patrick both testified that, prior to the tax sale, Mr. Perez had decided to close the bar for a short time while he remodeled and made some changes to his business style. Mr. Perez testified that he had decided to stop serving food so, after he closed the bar, he began removing the kitchen equipment and attempting to sell it, mostly on Ebay. He testified that he had sold some items and had offers on others when he found that he could no longer access the building. He testified that he did not realize the ownership of the building had changed until the day he was locked out. When he contacted the new owner about getting inside the building to recover his belongings, Mr. Schneider refused to allow it. Mr. Schneider told Mr. Perez that he had purchased everything in the building when he bought the real estate at the sheriff's sale.

2 { ¶ 5} Mr. Schneider presented contrary evidence. Although he was never inside the building before he bought it, he had visited the site and had not seen anything that made him believe it housed any active businesses. He also testified that he believed Mr. Perez attended the sheriff's sale and even bid against him. Mr. Schneider further testified that he changed the locks on October 18, 2007, and the sheriff's deed reflects that the sale was finalized and the deed recorded on November 2, 2007.

{ ¶ 6} Mr. Perez's company, Perez Bar & Grill LLC, sued Mr. Schneider, alleging conversion and replevin. After Perez filed a voluntary dismissal of its replevin claim, the parties conducted a bench trial limited to the theory of conversion. The trial court ordered Mr. Schneider to pay Perez $9330 as damages for conversion of the property, ruling that: (1) 39 of the 40 contested items were trade fixtures and not fixtures, (2) none of the items had been abandoned, (3) Mr. Schneider did not acquire an interest in the items by buying the real estate, and (4) equitable estoppel did not apply. Mr. Schneider attempted to appeal the decision, but this Court ruled that we lacked jurisdiction to consider the appeal because the trial court had not certified under Rule 54(B) of the Ohio Rules of Civil Procedure that there was no just reason for delay. Although Perez had attempted to voluntarily dismiss its replevin claim against Mr. Schneider, this Court determined that attempt was ineffective in light of *Pattison v. W.W. Grainger Inc.*, 120 Ohio St.3d 142, 897 N.E.2d 126, 2008–Ohio–5276, ¶ 18. On remand, the trial court "denied" and "dismissed" the replevin claim and reentered judgment for Perez Bar & Grill in the amount of $9330.00. Mr. Schneider has appealed.

CONVERSION

[1] { ¶ 7} Mr. Schneider's first assignment of error is that the trial court incorrectly granted Perez judgment on its conversion claim. He has argued that "conversion is not the appropriate remedy" under the facts of this case because, as a "third-party stranger to a foreclosure sale," Perez "should be required to pursue a replevin action to a conclusion, or bring an action for a declaratory judgment [for] a trial court to adjudicate ownership of the property."

{ ¶ 8} In its August 25, 2011, judgment entry, the trial court determined that Mr. Schneider converted 38 items of contested property because: (1) Perez owns it and has the right to possession of it, (2) Perez demanded return of the property and Mr. Schneider refused without justification, and (3) Mr. Schneider has exercised dominion and control over the property by refusing to return it. The trial court granted Perez judgment in the amount of $9330 plus interest from June 19, 2009. According to Mr. Schneider, a conversion action would not be appropriate unless and until a defendant refuses to return the contested property after a court has determined that the plaintiff owns it. Mr. Schneider's argument focuses on the remedy. He has essentially argued that the defendant should be permitted to elect the remedy in the event that he loses the battle over ownership. Mr. Schneider has not cited any authority for this proposition.

3 { ¶ 9} This Court is not aware of any authority to support Mr. Schneider's position that winning a replevin action is a condition precedent to suing for conversion. It is true that a plaintiff who wins a final judgment awarding him permanent possession of property in a replevin action, but remains unable to obtain possession of the property, may proceed as if his action were a claim for conversion. R.C. 2737.14. Although Section 2737.14 of the Ohio Revised Code mentions conversion, it does not address under what circumstances one may file a

conversion claim.

{ ¶ 10} "[C]onversion is the wrongful exercise of dominion over property to the exclusion of the rights of the owner, or withholding it from his possession under a claim inconsistent with his rights." *State ex rel. Toma v. Corrigan,* 92 Ohio St.3d 589, 592, 752 N.E.2d 281 (2001) (quoting *Joyce v. Gen. Motors Corp.,* 49 Ohio St.3d 93, 96, 551 N.E.2d 172 (1990)). The three basic elements of conversion are: "(1) plaintiff's ownership or right to possession of the property at the time of the conversion; (2) defendant's conversion by a wrongful act or disposition of plaintiff's property rights; and (3) damages." *Keybank Nat'l Assoc. v. Guarnieri & Secrest P.L.L.,* 7th Dist. No. 07 CO 46, 2008–Ohio–6362, ¶ 15 (quoting *Haul Transport of VA Inc. v. Morgan,* 2d Dist. No. 14859, 1995 WL 328995, *3 (June 2, 1995)). "It is not necessary that the property be wrongfully obtained." *McCartney v. Universal Elec. Power Corp.,* 9th Dist. No. 21643, 2004–Ohio–959, ¶ 14. When property is otherwise lawfully held, "[a] demand and refusal ... are usually required to prove the conversion...." *Ferreri v. Goodyear Local No. 2 United Rubber, Cork, Linoleum & Plastic Workers of Am. Home Ass'n,* 9th Dist. No. 16311, 1994 WL 45740, *2 (Feb. 9, 1994) (quoting *Ohio Tel. Equip. & Sales Inc. v. Hadler Realty Co.,* 24 Ohio App.3d 91, 94, 493 N.E.2d 289 (1985)). Thus, if the defendant lawfully obtained possession of the property, the plaintiff must offer the defendant an opportunity to restore it to plaintiff's possession before plaintiff can maintain an action in conversion. *Id.*

{ ¶ 11} There is no requirement that a plaintiff first exhaust his remedies in a replevin action before electing to sue for conversion. If the evidence is such that the elements of conversion may be proven, then such a claim may be pursued without regard to other potential remedies. Mr. Schneider's first assignment of error is overruled.

PRESUMPTION OF OWNERSHIP

[2] { ¶ 12} Mr. Schneider's second assignment of error is that the trial court should have required Perez to "overcome the presumption" that he acquired an ownership interest in the contested property by virtue of buying the building at the sheriff's sale. He has argued that he purchased the building without realizing a tenant had left business equipment inside and, as an innocent third-party purchaser, Ohio law should protect him from conversion claims. He has not pointed to any authority for the proposition that such a presumption exists. He has, however, offered policy arguments, urging this Court to create such a rule to protect real estate buyers at auctions. In response, Perez has cited a Third District case for the proposition that "[p]ersonal property does not pass with the land upon judicial sale of real estate." *Hance v. Reeder,* 3d Dist. No. 1–82–13, 1983 WL 7220, *1 (Mar. 16, 1983) (citing *Standard Oil Co. v. Zangerle,* 144 Ohio St. 523, 60 N.E.2d 59 (1945)).

*4 { ¶ 13} Mr. Schneider has cited *Bank One, Cincinnati v. Wait,* 110 Ohio App.3d 460, 674 N.E.2d 752 (4th Dist.1996), for the proposition that a buyer at a sheriff's sale acquires any personal property located on the real property by virtue of its purchase. He has argued that, in *Wait,* "[t]he former owner contended" and "[t]he trial court apparently agreed" that "the purchaser had acquired both the real property and the personal property (scrap tires and the mobile home) by virtue of the judicial sale." In *Wait,* the high bidder at a sheriff's sale moved to set aside the sale because thousands of scrap tires had been left on the property creating a hazard and expense. The Fourth District did not hold that ownership of the tires passed to the purchaser at the sheriff's sale. The question was who had to pay to remove the mess. The appellate court determined that the former owner of the property had abandoned any interest in the tires and that the doctrine of caveat emptor applies to real property purchased at a foreclosure sale. *Id.* at 469–70, 674 N.E.2d 752. The Court in *Wait* did not address the question of whether a former owner who has not abandoned his personal property retains his ownership interest in it after a judicial sale of the real estate upon which it is located.

{ ¶ 14} Mr. Schneider has argued that, prior to buying the property, he had not been inside the building and had no idea what, if any, personal property remained inside. He did not offer evidence that Perez's personal property had been included as part of the appraisal. *See Rose v. Rose,* 3d Dist. No. 10–03–08, 2004–Ohio–1954, ¶ 8 ("The reason given for excluding growing crops from judicial sales is that all lands before exposure to sale are required to be appraised, and ... [a]nnual crops are not included in such appraisal, and hence to include them in the sale would be to give to the purchaser property which had not been subject to appraisal ...." (quoting *Herron v. Herron,* 47 Ohio St. 544, 548, 25 N.E. 420 (1890)). Under the circumstances, Mr. Schneider could not reasonably argue that the price he paid for the property included consideration for the personal and business property left inside on the day of the sale. He has essentially argued that, as the buyer of the building, he should be the beneficiary of a windfall created by an unwary tenant

with an unreliable landlord. Mr. Schneider has not cited any authority supportive of that position, and we decline to adopt it.

{ ¶ 15} Further, there is no need to shield buyers at sheriff's sales from conversion suits by innocent third-party tenants. According to the settled law of conversion, if the defendant lawfully comes into possession of the chattels, such as, for example, through the purchase of a commercial building at a sheriff's sale, the plaintiff must prove two additional elements beyond a normal conversion claim in order to recover for his property. *Ferreri v. Goodyear Local No. 2 United Rubber, Cork, Linoleum & Plastic Workers of Am. Home Ass'n,* 9th Dist. No. 16311, 1994 WL 45740, *2 (Feb. 9, 1994) (quoting *Ohio Tel. Equip. & Sales Inc. v. Hadler Realty Co.,* 24 Ohio App.3d 91, 94, 493 N.E.2d 289 (1985)). That is, the plaintiff must prove that he requested return of his property and that the defendant denied his request without justification. *Id.* This additional hurdle provides sufficient protection for buyers in Mr. Schneider's position. Mr. Schneider's second assignment of error is overruled.

FIXTURES VS. TRADE FIXTURES

***5** { ¶ 16} Mr. Schneider's third assignment of error is that the trial court incorrectly determined that the contested items are trade fixtures that remain the personal property of Perez Bar & Grill. "A fixture is an article [that] was a chattel, but [that] by being physically annexed or affixed to the realty, became accessory to it and part and parcel of it." *Teaff v. Hewitt,* 1 Ohio St. 511, 527 (1853). Classification as a fixture requires three elements: (1) "[a]ctual annexation to the realty, or something appurtenant thereto;" (2) "[a]ppropriation to the use or purpose of that part of the realty with which it is connected;" and (3) "[t]he intention of the party making annexation, to make the article a permanent accession to the freehold...." *Id.* at 530.

{ ¶ 17} Over the years, "flesh [has been] added to the bare bones of the tripartite *Teaff* test." *Masheter v. Boehm,* 37 Ohio St.2d 68, 73, 307 N.E.2d 533 (1974). "The factor of physical annexation of personal property to the realty has come to be regarded as less determinative of fixture status than was formerly the case at common law." *Id.* In fact, the Ohio Supreme Court has described it as "the least important" of the three *Teaff* factors. *Id.* (quoting *Holland Furnace Co. v. Trumbull Sav. & Loan Co.,* 135 Ohio St. 48, 53, 19 N.E.2d 273 (1939)). "Thus, a chattel may be considered a fixture even though only slightly attached ... but will not necessarily be considered a fixture because of a high degree of attachment to the realty unless the other criteria are met." *Id.*

{ ¶ 18} The Ohio Supreme Court has shifted the focus of the fixture test to the second and third prongs of the *Teaff* test in an effort to create a "proper rule of law, which provides that degree of flexibility and accommodation to circumstances necessary to ensure that ... [the parties] will be dealt with fairly, with neither enjoying a windfall gain nor suffering unfair deprivation." *Masheter v. Boehm,* 37 Ohio St.2d 68, 76–77, 307 N.E.2d 533 (1974). In evaluating the purpose or use of the item under the second element of the test, courts will consider "the distinction between the business [that] is carried on ... upon the premises, and the premises [itself]. The former is personal in nature, and articles that are merely accessory to the business, and have been put on the premises for this purpose, and not as accessions to the real estate, retain [their] personal character.... But articles [that] have been annexed to the premises as accessory to it, whatever business may be carried on upon it, and not peculiarly for the benefit of a present business ... become subservient to the realty...." *Zangerle v. Republic Steel Corp.,* 144 Ohio St. 529, 60 N.E.2d 170, paragraph seven of the syllabus (1945). The Supreme Court has also considered whether removal of the item would adversely affect the utility of the premises and/or necessitate replacement of the item. *Holland Furnace Co. v. Trumbull Sav. & Loan Co.,* 135 Ohio St. 48, 53, 19 N.E.2d 273 (1939). For example, because a furnace is "an integral and necessary part" of any residence in this climate and it would have to be replaced in order for someone to live in the home, the second prong of the *Teaff* test would be satisfied as to a furnace, but not necessarily as to a single-room heating stove. *Id.*

***6** { ¶ 19} If an item fails to meet the second prong of the *Teaff* test because it is peculiar to the business being operated on the premises, it is likely to be deemed a trade fixture. Black's Law Dictionary defines a trade fixture as "[r]emoveable personal property that a tenant attaches to leased land for business purposes," for example, a display counter. Black's Law Dictionary 669 (8th ed.2004). Trade fixtures are an exception to the general rule regarding fixtures because they may be removed by the tenant during his lease term provided that their removal will not result in great damage to the premises. *Donohoe v. Elliott,* 2d Dist. No. 2804, 1991 WL 233856, *3 (Nov. 8, 1991).

{ ¶ 20} Regarding the third element of the *Teaff* test, the intention of the party affixing the item to the realty is to

be "inferred from the nature of the article affixed, the relation and situation of the party making the annexation, the structure and mode of annexation, and the purpose or use for which the annexation has been made." *Teaff v. Hewitt,* 1 Ohio St. 511, 530 (1853) (emphasis omitted). "[I]t is not necessarily the real intention of the owner of the chattel which governs. His apparent or legal intention to make it a fixture is sufficient" and that "ought to be apparent, from the situation and surroundings...." *Holland Furnace Co. v. Trumbull Sav. & Loan Co.,* 135 Ohio St. 48, 53–54, 19 N.E.2d 273 (1939).

{ ¶ 21} Following a site visit, the trial court found that Mr. Perez did not intend to make any of the contested items a permanent accession to the premises. It held that "all of the property affixed to the [p]remises was (a) for [Perez's] use in the operation of the bar/restaurant at the [p]remises, (b) adapted to [Perez's] business at the [p]remises, and (c) removable with no damage to the [p]remises." It also found that, "[e]ach [contested] item ... that is affixed to the premises is done so by nails or screws, and may be removed without causing any damage to the [p]remises."

The bar, ventilation hood, and sinks

[3] { ¶ 22} The first contested item is the handmade wooden bar and backbar, which Mr. Perez described as being over 30 feet long. He testified that each section of the bar is merely screwed into the floor and removal would not cause damage to the flooring. Mr. Schneider testified that removal of the bar would cause damage because each section of the bar is "spiked" into the floor. He also testified that the back bar could not be removed without damaging the wall. The trial court disagreed. It held that the bar and back bar could be removed without significant damage to the building and held that Mr. Perez installed them both in furtherance of his business, not as a general improvement to the building.

{ ¶ 23} The second contested item is the hood section of the ventilation system over the stove. Mr. Schneider testified that removal of the hood would require removal of bolts that would cause damage to both the wall and the ceiling. Mr. Perez testified that the hood is attached to metal rods that come down from the rafters and pass through the drop ceiling. He said he could remove the hood without causing any damage to the building. He also testified that he installed the hood because it was necessary to operate his business and that he never intended for it to benefit the building apart from the operation of his bar and grill.

*7 { ¶ 24} The third through sixth contested items are sinks. They were described at trial as: (1) a three-compartment stainless steel bar sink; (2) a stainless steel bar hand sink; (3) stainless steel kitchen hand sink; and (4) a stainless steel vegetable preparation double sink and table. According to Mr. Perez, both of the bar sinks are free-standing rather than affixed to the building, but they are connected to the building's water lines. Mr. Perez testified that he had to have the hand sink custom made for the small space behind the bar after he learned that the health department would require it. He testified that the hand sink in the kitchen was attached to the wall and connected to the building's plumbing system. Mr. Schneider testified that all of the sinks were fastened to the building and connected to the building's plumbing system.

{ ¶ 25} The bar, ventilation hood, and the sinks all meet the first requirement of the *Teaff* test for a fixture because they are attached to the building by bolts, screws and/or water lines. But, these items fail to meet the second requirement of the test. A bar and its attendant sinks are peculiar to the bar business. The kitchen sinks and ventilation hood are peculiar to the business of food service. None of these items is "an integral and necessary part of the whole premises." *Holland Furnace Co. v. Trumbull Sav. & Loan Co.,* 135 Ohio St. 48, 53, 19 N.E.2d 273 (1939). Over the years, the building has been occupied by various types of business, including a retail store and a photography studio that would have had no use for the bar, the ventilation hood, or the kitchen and bar sinks. Because these items do not fulfill the second element of the *Teaff* test, the trial court correctly determined that they are not fixtures. The trial court correctly held that the bar, ventilation hood, and sinks are trade fixtures, because those items were installed by a tenant for purposes peculiar to its business, their removal will cause minimal damage to the building, and none of them is "an integral and necessary part of the whole premises." *Id.* To the extent that Mr. Schneider's third assignment of error addressed the bar, the ventilation hood, and the sinks, it is overruled.

The awning

[4] { ¶ 26} The seventh contested item is the large vinyl awning over the front door. Mr. Perez testified that the

awning is twenty-four feet by six feet and is screwed into the outside wall above the entrance. He also testified that it serves as a large sign for "Josh's Place" bar and grill. He said that the lettering is in the form of a sticker that can be easily replaced. Both Mr. Perez and Mr. Patrick testified that removal of the awning would require removal of the concrete screws holding it in place. Mr. Schneider testified that would cause damage to the face of the building.

{ ¶ 27} The awning fulfills the first element of the *Teaff* test because it is physically fastened to the face of the building. Although not of a peculiar benefit to the bar and grill business, there was no evidence that removing the awning would impair the utility of the building as a whole. Unlike a furnace or toilet, the awning is not an "integral and necessary part of the whole premises." *Holland Furnace Co. v. Trumbull Sav. & Loan Co.,* 135 Ohio St. 48, 53, 19 N.E.2d 273 (1939). Although an awning over the front door may serve as signage and be of some practical use in this climate, its removal would not necessitate replacement. Further, Mr. Perez testified that he installed the awning for the benefit of Josh's Place rather than for the building as a whole. The awning fails the second prong of the fixture test. To the extent that Mr. Schneider's third assignment of error addressed the awning, it is overruled.

The air conditioner

***8** [5] { ¶ 28} Mr. Schneider has also contested the trial court's determination regarding the rooftop air conditioning unit, which Mr. Perez had added just before the building was sold at auction. Mr. Patrick testified that, when he leased the building to Perez, there was an air-conditioning system in place, including the necessary ductwork. He also testified that Mr. Perez spoke with him about improving the system. Mr. Perez testified that, sometime during the month before the tax sale, he bought the air-conditioning unit and had it installed. He said the new unit used the existing ductwork and was not even fastened to the rooftop, making its removal a simple task. Mr. Schneider, on the other hand, testified that the unit is fastened to the roof and removal will cause damage.

{ ¶ 29} Regardless of whether the air conditioner is fastened to the roof, it is sufficiently attached to the building, via the HVAC system, to fulfill the first element of the *Teaff* test. Strictly speaking, central air conditioning is not necessary for the use of a commercial building in northern Ohio, but it is an integral part of the entire three-story building. *See Holland Furnace Co. v. Trumbull Sav. & Loan Co.,* 135 Ohio St. 48, 53, 19 N.E.2d 273 (1939). Therefore, it meets the second requirement of the *Teaf* test.

{ ¶ 30} Mr. Patrick and Mr. Perez testified that Mr. Perez had hoped to buy the building eventually. In fact, they had agreed on a price and had a written land contract, but it had never been executed due to a lack of financing. Mr. Patrick said that, although Mr. Perez generally told him about his plans for additions or alterations to the property, he never placed any limits on Mr. Perez's freedom to alter the building. He also testified that he never had any discussion with his tenant about any of the contested items becoming a permanent part of the building. The air conditioner was described as a 200 pound, five-ton capacity rooftop unit, which Mr. Perez connected to the pre-existing HVAC system. The nature and use of the central air conditioning unit tend toward an inference of permanency. That is, as part of the central air conditioning system for the three-story building, it is an integral part of the whole premises and not adapted to benefit only the area of the building occupied by the bar and grill. Therefore, the trial court incorrectly determined that the air conditioning unit was a trade fixture instead of a fixture. To the extent that Mr. Schneider's third assignment of error addressed the air conditioner, it is sustained.

ABANDONMENT

[6] { ¶ 31} Mr. Schneider's fifth assignment of error is that the trial court's decision that none of the contested items was abandoned is against the manifest weight of the evidence. When reviewing the manifest weight of the evidence in a civil case, this Court "weighs the evidence and all reasonable inferences, considers the credibility of witnesses and determines whether in resolving conflicts in the evidence, the [finder of fact] clearly lost its way and created such a manifest miscarriage of justice that the [judgment] must be reversed and a new trial ordered." *Eastley v. Volkman,* 132 Ohio St.3d 328, 972 N.E.2d 517, 2012–Ohio–2179, ¶ 20 (quoting *Tewarson v. Simon,* 141 Ohio App.3d 103, 115, 750 N.E.2d 176 (9th Dist.2001)).

***9** { ¶ 32} Abandoned property has been defined as "property over which the owner has relinquished all right, title, claim, and possession with the intention of not reclaiming it or resuming its ownership, possession or

enjoyment." *Doughman v. Long,* 42 Ohio App.3d 17, 21, 536 N.E.2d 394 (12th Dist.1987). "Abandonment requires affirmative proof of the intent to abandon coupled with acts or omissions implementing the intent. Mere non-use is not sufficient to establish the fact of abandonment, absent other evidence tending to prove the intent to abandon." *Long v. Noah's Lost Ark Inc.,* 158 Ohio App.3d 206, 814 N.E.2d 555, 2004–Ohio–4155, ¶ 35 (7th Dist.) (quoting *Davis v. Suggs,* 10 Ohio App.3d 50, 52, 460 N.E.2d 665 (12th Dist.1983)).

{ ¶ 33} Mr. Schneider has argued that the trial court's decision fails to account for the evidence that tended to indicate that Mr. Perez had closed the bar and grill two to three months before the sheriff's sale. He has pointed out that there was evidence that some utilities were turned off in September and Mr. Schneider testified that when he visited the property before the sale, he found it locked and dark. The trial court also heard evidence that Perez had not abandoned the property. Mr. Patrick testified that, while the bar was still operating, Mr. Perez told him that "he was going to close for two or three months to do some remodeling and change some things." Mr. Perez said that, once he closed the bar, he "started stripping the kitchen, selling off the pieces ... [to] gather money to reopen." According to Mr. Perez, he had located Ebay buyers ready to purchase the stove and the ventilation hood, but the deals fell through when Mr. Schneider locked him out of the building. He also testified that he had bought a mechanical bull intended for use in the remodeled bar, but had not had it delivered to the building before the locks were changed.

{ ¶ 34} Despite the contrary evidence, the trial court believed Mr. Perez's testimony regarding his intention to temporarily close the business in order to remodel and open a bar without food service. The trial court found that, "[w]hen [Mr. Schneider] purchased the [building], [Perez's] renovation was underway." Based on Mr. Perez's testimony, the trial court determined that he "had solicited offers for the various items ... and had obtained offers to purchase [some of them]." The trial court did not lose its way and create a manifest miscarriage of justice by believing Mr. Perez's testimony that he had not abandoned the property inside the building. Mr. Schneider's fifth assignment of error is overruled.

VALUE OF THE DISPUTED PROPERTY

[7] { ¶ 35} Mr. Schneider's fifth assignment of error is that the trial court's decision regarding the value of the disputed property is against the manifest weight of the evidence. The Ohio Supreme Court has held that, "[i]n a suit for conversion, [if] the facts do not authorize the assessment of exemplary damages, the general rule for the measure of damages is the value of the property at the time of the conversion." *Erie R.R. Co. v. Steinberg,* 94 Ohio St. 189, 113 N.E. 814, paragraph two of the syllabus (1916); *but see Schaffer v. First Merit Bank N.A.,* 9th Dist. Nos. 09CA009530, 09CA009531, 2009–Ohio–6146, ¶ 29 (explaining that this Court and others have "deviated from [this] bright-line rule" in favor of making the plaintiff whole.) This Court has described the general measure of damages as focusing on the market value of the converted items. *Digital & Analog Design Corp. v. N. Supply Co.,* 9th Dist. No. 4213, 1987 WL 25779, *4 (Nov. 25, 1987), rev'd in part on other grounds, 44 Ohio St.3d 36, 540 N.E.2d 1358 (1989) (citing *Fulks v. Fulks,* 95 Ohio App. 515, 519, 121 N.E.2d 180 (1953)). "[F]air market value" is defined as "[t]he price that a seller is willing to accept and a buyer is willing to pay on the open market and in an arm's-length transaction...." Black's Law Dictionary 1587 (8th ed.2004).

***10** { ¶ 36} Mr. Schneider has argued that the trial court misconstrued his expert's testimony and relied on values that do not represent the fair market value of the contested items. He has argued that the trial court incorrectly relied on his expert's testimony regarding the "retail value[s]" of the items, which do not account for the cost of a dealer preparing the items for resale. Mr. Schneider called Lawrence Treboniak, a dealer of used restaurant equipment, to testify about the value of the contested items. Mr. Treboniak testified that the retail value was the price at which he believed his company could sell each item after it had been retrieved, cleaned, and repaired if necessary. According to Mr. Schneider, the only evidence of fair market value at the time of conversion came from Mr. Treboniak's testimony regarding the price he would be willing to pay for each item, which was just 20 percent of the retail value.

{ ¶ 37} Mr. Schneider's argument fails because it is dependent on the assumption that a used equipment dealer is necessary to accomplish the sale of used restaurant equipment. There was no evidence to that effect. On the contrary, Mr. Perez testified that he had been successfully working to sell the equipment directly to buyers online. Thus, the trial court reasonably relied on the dealer's testimony regarding the retail value as evidence of the fair market value of the items. The trial court did not create a manifest miscarriage of justice by relying on Mr. Treboniak's opinion regarding the price an end user would pay for the used restaurant and bar equipment. Mr.

Schneider's fifth assignment of error is overruled.

CONCLUSION

{ ¶ 38} Mr. Schneider's first assignment of error is overruled because a plaintiff is not required to pursue a replevin action before electing to sue for conversion. His second assignment of error is overruled because the settled law of conversion provides sufficient protection for buyers in Mr. Schneider's position. His third assignment of error is sustained only in so far as it addressed the trial court's decision that the rooftop air conditioning unit was a trade fixture. The remainder of Mr. Schneider's third assignment of error is overruled. His fourth assignment of error is overruled because the trial court did not lose its way and create a manifest miscarriage of justice by concluding that Mr. Perez did not abandon the disputed items. His fifth assignment of error is overruled because the trial court did not lose its way and create a manifest miscarriage of justice by relying on evidence of the retail value of the trade fixtures as the measure of damages. The judgment of the Lorain County Common Pleas Court is vacated to the extent that it held the rooftop air conditioning unit is a compensable trade fixture rather than a fixture that passes with the real estate. As the trial court determined the fair market value of the air conditioning unit to be $100, the trial court's judgment in favor of Perez Bar & Grill must be reduced by $100. The judgment is accordingly modified to reflect an award of $9230.00 to Perez Bar & Grill. The judgment is affirmed in all other respects.

***11** Judgment affirmed as modified.

There were reasonable grounds for this appeal.

We order that a special mandate issue out of this Court, directing the Court of Common Pleas, County of Lorain, State of Ohio, to carry this judgment into execution. A certified copy of this journal entry shall constitute the mandate, pursuant to App.R. 27.

Immediately upon the filing hereof, this document shall constitute the journal entry of judgment, and it shall be file stamped by the Clerk of the Court of Appeals at which time the period for review shall begin to run. App.R. 22(C). The Clerk of the Court of Appeals is instructed to mail a notice of entry of this judgment to the parties and to make a notation of the mailing in the docket, pursuant to App.R. 30.

Costs taxed to Appellant.

MOORE, P.J., and CARR, J., concur.

All Citations

Not Reported in N.E.2d, 2012 WL 6105324, 2012 -Ohio-5820

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SCAP-17-0000816

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IN THE SUPREME COURT OF THE STATE OF HAWAII

In the Matter of the Appeal of

KAHEAWA WIND POWER, LLC,

Taxpayer-Appellant.

CIVIL NO. 16-1-0229

Case Nos. TX 14-1-0266 and consolidated case TX 16-1-0272, TX 14-1-0267 and consolidated case TX 16-1-0273, and 1 X 16-1-0275, 1 TX 15-1-0238, 1 TX 16-1-0328 (Other Civil Action)

Consolidated Case Nos. CAAP-17-0000816, CAAP-17-0000817, CAAP-17-0000818, CAAP-170000819, CAAP-17-0000820

CAAP-17-0000816 - APPEAL FROM 1) ORDER GRANTING TAXPAYER-APPELLANT KAHEAWA WIND POWER LLC'S MOTION FOR PARTIAL SUMMARY JUDGMENT FILED SEPTEMBER 1, 2016, FILED APRIL 25, 2017, 2) ORDER DENYING APPELLEE COUNTY OF MAUI'S MOTION FOR SUMMARY JUDGMENT AND FOR DISMISSAL OF TAXPAYER-APPELLANT KAHEAWA WIND POWER LLC'S TAX APPEALS FILED NOVEMBER 12, 2014 AND FEBRUARY 3, 2014, FILED FEBRUARY 3, 2017, FILED MAY 15, 2017, AND 3) STIPULATION FOR ENTRY OF JUDGMENT; FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000817 -APPEAL FROM CAAP-17-0000817 - APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000818 - APPEAL FROM 1) ORDER GRANTING TAXPAYER-APPELLANT AUWAHI WIND ENERGY LLC'S AUGUST 31, 2016 MOTION FOR SUMMARY JUDGMENT FILED APRIL 26, 2017, 2) ORDER DENYING APPELLEE COUNTY OF MAUI'S FEBRUARY 3, 2017 MOTION FOR SUMMARY JUDGMENT ET SEQ., FILED MAY 14, 2017; AND STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000819-APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

CAAP-17-0000820 - APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

Tax Appeal Court, State of Hawai`i
Judge: Honorable Gary W.B. Chang

STATEMENT OF RELATED CASES

The following cases involve the same parties and the same related issues as the present appeal.

For Tax Year 2016:

- *In the Matter of the Appeal of Kaheawa Wind Power, LLC*, TX 16-1-0326 (Tax Appeal Court)
- *In the Matter of the Appeal of Kaheawa Wind Power II, LLC*, TX 16-1-0327 (Tax Appeal Court)

For Tax Year 2017:

- *In the Matter of Kaheawa Wind Power, LLC*, Case No. N-16021742 (Board of Review, County of Maui)
- *In the Matter of Kaheawa Wind Power II, LLC*, Case No. N-16021739 (Board of Review, County of Maui)
- *In the Matter of the Appeal of Auwahi Wind Energy, LLC*, TX 18-1-0323 (Tax Appeal Court)

For Tax Year 2018:

- *In the Matter of Kaheawa Wind Power, LLC*, Case No. N-18023101 (Board of Review, County of Maui)
- *In the Matter of Kaheawa Wind Power II, LLC*, Case No. N-18023100 (Board of Review, County of Maui)
- *In the Matter of Auwahi Wind Energy, LLC*, Case No. A-18023136 (Board of Review, County of Maui)

DATED: Honolulu, Hawaii, July 11, 2018.

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SCAP-17-0000816

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IN THE SUPREME COURT OF THE STATE OF HAWAII

In the Matter of the Appeal of

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CAAP-17-0000820 - APPEAL FROM STIPULATED FINAL JUDGMENT FILED OCTOBER 4, 2017

Tax Appeal Court, State of Hawai`i
Judge: Honorable Gary W.B. Chang

CERTIFICATE OF SERVICE

I hereby certify that a true and correct copy of the foregoing document was served on the date of filing upon the following parties via electronic court filing (JEFS):

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